

Hong Kong Property & Conglomerates

Results preview: kickstarting the earnings upcycle

After a 2-3 year earnings downcycle, we believe the upcoming results (to be released from July to November; most are interim, but some are annual results) will kickstart a multi-year earnings upcycle (we forecast a 9% Y/Y earnings growth (Figure 3) and 2-3% Y/Y DPS growth), driven by improving HK DP margins (Table 10), partial stabilization in rental income (Figure 12) & lowering financing costs. In the near term, we expect the sector may continue to be heavily influenced by the interest rate narrative, which is rapidly shifting. In our stock-picking, we prefer companies with (1) lower sensitivity to rates; (2) earnings revival over the next 2-3 years; (3) proactive capital recycling; and (4) improvement in operating data of key sub-sector exposure (e.g. spot rent rebound in Central office; spot rent stabilization in HK retail). Since the overhang of [capital outflow control](#) may not be totally removed any time soon, we see higher certainty in landlords over developers in the near term. Top picks: **Link REIT**, **HKL** & **Swire Prop** among landlords; **SHKP** among developers; **CK Hutchison** & **Jardine Matheson** among conglomerates.

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}

(852) 2800-8513
karl.chan@jpmorgan.com

Venus Choi

(852) 2800-8599
venus.choi@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Results preview

- Most companies will see earnings growth (Figure 1):** Both **CKH** & **CKA** will likely see >100% Y/Y earnings growth due to the disposal gains of UKPN (which benefited both companies). Excluding disposal gains, we expect **CKH** to see 11% Y/Y earnings growth (benefiting from elevated oil prices through Cenovus) while **CKA** will see a 6% Y/Y decline due to the booking of low-margin DP projects in HK. We expect **Henderson** to see a strong 42% Y/Y growth due to the booking of The Legacy (>50% margin), while the 13% Y/Y jump in **Swire Prop**'s is also due to the booking of HK DP. We expect **SHKP** to register a 5% Y/Y growth with upside risk if DP margin is better than expected, while **JM** should see a 3% Y/Y growth despite a drag from Astra. For **HKL** (+10%), **Wharf REIC** (+2%) and **Link REIT** (+0%), the earnings improvement is mostly due to cost savings. For **Hang Lung**, while we expect core net profit to drop 2%, this is mostly due to a drop in interest capitalization (non-cash); operating profit (which we expect a mild 2% growth) is a better way to assess the company's well-being. We expect an 8% Y/Y drop in **Sino**'s earnings due to smaller DP booking and lower interest income. **NWD** will likely remain in a net loss, but the loss may narrow due to profit booking of high-margin HK DP projects (The Legacy & Pavilia Farm).
- Assessing dividend certainty (Figure 2):** Apart from **NWD** (no dividend), we expect all companies to at least maintain a flat DPS. We forecast **SHKP**, **HKL** & **CKH** to deliver ~5% DPS growth, while **JM**, **Swire Prop** & **Wharf REIC** should see 2-3% growth. We see upside risk in **CKH** (as we expect EPS to grow >10% Y/Y, but historically DPS growth has not necessarily tracked the same as EPS growth) and **SHKP** (if earnings growth is >5%). We see downside risk to **Wharf REIC** if the increase in turnover rent is unable to offset the decline in base rent. **CKA** is another one with higher uncertainty, especially as a special dividend has been anticipated by some investors, but we don't have 100%

See page 68 for analyst certification and important disclosures, including non-US analyst disclosures.

conviction that CKA will declare one (based on track record). That said, in our base case, we pencil in a small special DPS to offset the decline in core DPS (thus we expect interim DPS to be flat Y/Y). The following companies should see high certainty in meeting our DPS forecast (likely at least flat): **HKL, JM, Swire Prop, Hang Lung, Sino & Henderson**. Finally, we expect **Link REIT** to see a flattish DPS due to cost savings (to be reported in November).

- **Other non-results catalysts:** For *developers*, we believe the following data may be stronger share price drivers: (1) home price momentum; (2) sell-through rates of primary launches; (3) overall sales volumes. For *landlords*, we believe monthly retail sales data & quarterly office rental data may also be important. Generally, **capital recycling is also a key rerating factor**. Within our coverage, companies active in recycling include **HKL, Swire Prop, Link REIT, JM & CKH**. To a lesser extent, **CKA** might also be considered one, although its asset disposals are relatively passive. Meanwhile, **Wharf REIT**'s potential disposal of its Singapore assets might also be a positive catalyst if executed. Finally, **Link REIT, HKL & JM** have been active in buyback.

Sub-sector outlook

Sub-sector preference: In 2H26, in terms of momentum (measured by **growth in home prices/rents**), our pecking order is HK office (Central only) > HK residential = Mainland China retail = HK discretionary retail > HK staples retail > HK office (ex-Central) > Mainland China office.

In an upcycle:

- **HK Office (Central only):** Since the bottom in 3Q25, spot rents in Central have risen 9%, and due to improvement in vacancy rates (now down to 8.8%) & solid demand from the financial services sector (Figure 6), **we expect spot office rents in Central to see another MSD% growth in 2H26 (after a 7-8% jump in 1H26)**. If the trajectory continues, rental reversion should turn stable in FY27. More discussion can be found in our earlier [report](#) on HK commercial property.
- **HK Residential:** Year-to-date, HK home prices have surged 11% (stronger than expected) (Figure 4), already reaching our target range of 10-15% for FY26. While we maintain our full-year forecast, **this implies home price growth will slow to <5% in 2H26** as the housing market faces 3 major uncertainties (capital outflow control, rate hike concerns, and a bleak stock market), although the last two have recently been eased. **We believe the upcycle will continue but the momentum will slow** after the strong FOMO sentiment in 1H26 fades. Structurally supportive factors (population inflows, optimal inventory) remain in place (more in our in-depth [report](#)). Recent secondary sales volume has slowed (Figure 5), but if the interest rate narrative turns less hawkish & the stock market recovery continues in HK, we see upside risk to the housing market. Sell-through rates of upcoming launches are key to watch, and the next one will be Garden Regency by SHKP this weekend (with >40x over-subscriptions, we expect a 95-100% sell-through rate).
- **Mainland China Retail:** Note that for this sub-segment, **we only refer to mid/high-end retail in top-tier cities which most HK landlords are exposed to**. We estimate HK landlords have achieved a 5-10% Y/Y tenant sales growth in 1H26, outperforming the broader market (+1% Y/Y) (Figure 10). We expect HK landlords to see **low-single-digit % positive rental reversion** among their malls in Mainland China in FY26.
- **HK Discretionary Retail:** Year-to-date, HK discretionary retail sales have risen 17% Y/Y, but are still 20-30% below 2015-18 levels (Figure 7). While negative rental reversion may continue for the next 1-2 years, we expect spot rents to see stable/low-single-digit % growth in FY26. That said, we note that the Y/Y growth in tourist arrivals

has been moderating from >10% in 1Q to <10% over the past 2 months, and this may drag down the growth momentum.

Bottoming out:

- **HK Staples Retail:** Staples retail sales have risen 5% Y/Y year-to-date, and have already recovered to surpass the average 2015-18 level (Figure 8). Since last year, the sector has faced challenges from cross-border e-commerce like Pinduoduo, but the trend, albeit becoming structural, has stabilized. We believe spot rents should stabilize in 2026, and negative rental reversion may narrow to a MSD% in 2027.

In a downcycle:

- **HK Office (ex-Central):** The HK office market is seeing a K-shaped recovery. While Central has been outperforming, districts outside of Central remain lackluster (particularly Kowloon East) due to high vacancy rates (mid-to-high teens %) (Figure 6). Spot rents (ex-Central) have mildly dropped 1% in 1H26, and **we expect a continual low-single-digit % drop in 2H26**, mostly dragged by Kowloon East.
- **Mainland China Office:** Year-to-date, office rents in tier-1 cities have dropped 4% (Figure 11). With no improvement in vacancy rates (15-20%), **we expect another mid-single-digit % drop in 2H26**. Fortunately, HK landlords are not heavily exposed to this sub-segment (~5% of NAV), but with >10% negative rental reversion, this segment will continue to be a drag to HK landlords' rental income.

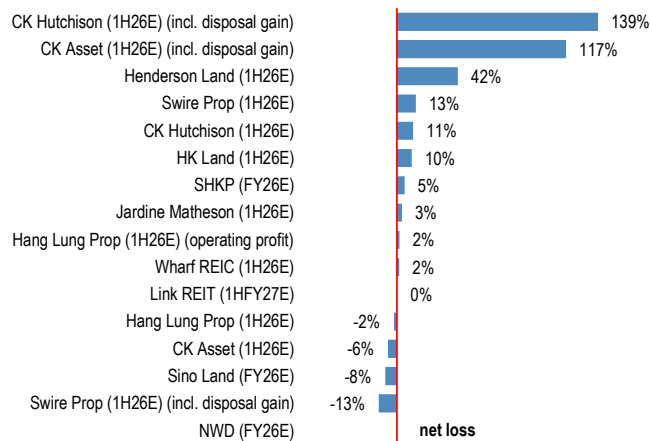
Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
CK Asset Holdings Ltd (1113)	1113 HK	21,049	HKD	47.14	OW	n/c	52.00	Jun-27	n/c	Dec-26
Henderson Land Development (0012)	12 HK	16,616	HKD	26.90	N	n/c	27.00	Jun-27	n/c	Dec-26
New World Development (0017)	17 HK	2,129	HKD	6.63	N	n/c	6.80	Jun-27	n/c	Dec-26
Sino Land (0083)	83 HK	13,026	HKD	10.65	OW	n/c	12.50	Jun-27	n/c	Dec-26
Sun Hung Kai Properties (0016)	16 HK	45,217	HKD	122.30	OW	n/c	140.00	Jun-27	n/c	Dec-26
Hang Lung Properties (0101)	101 HK	4,899	HKD	7.38	OW	n/c	12.00	Jun-27	n/c	Dec-26
Hongkong Land	HKL SP	15,802	USD	7.40	OW	n/c	10.70	Jun-27	n/c	Dec-26
Swire Properties (1972)	1972 HK	15,955	HKD	21.72	OW	n/c	30.00	Jun-27	n/c	Dec-26
CK Hutchison Holdings (0001)	1 HK	35,013	HKD	71.65	OW	n/c	79.00	Jun-27	n/c	n/c
Jardine Matheson	JM SP	18,117	USD	61.59	OW	n/c	94.00	Jun-27	n/c	Dec-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 15 Jul 26.

1HFY26 / FY26 / 1HFY27 results preview

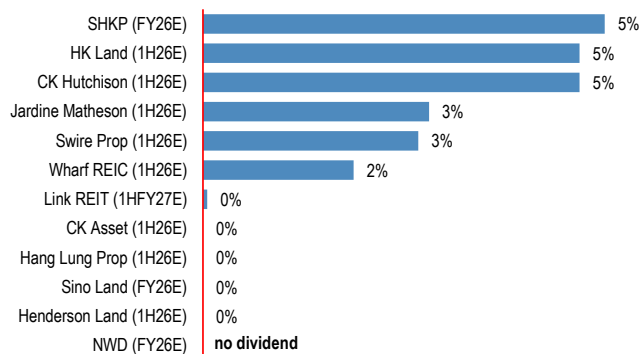
Figure 1: 1H26E / FY26E / 1HFY27E core net profit Y/Y growth



Note: JM's figure has excluded the non-trading items (HKL's DP segment, disposals of businesses at DFI Retail and JC&C, and shift in accounting treatment of Zhongsheng).

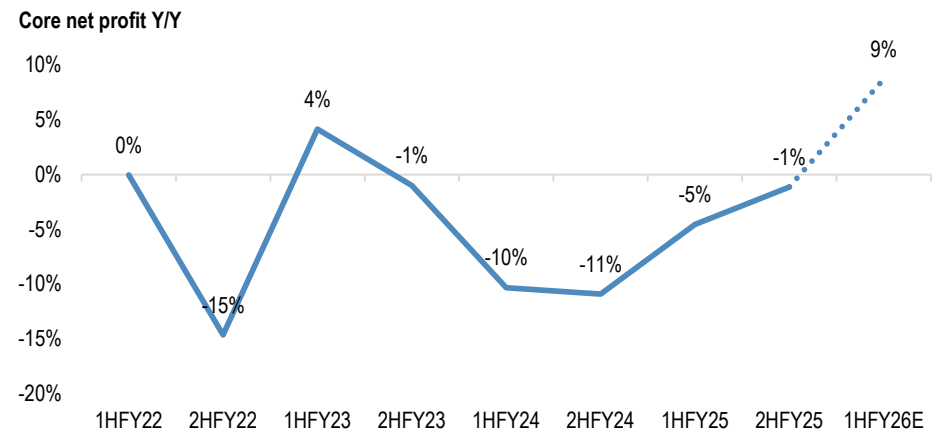
Source: Company data, J.P. Morgan estimates.

Figure 2: 1H26E / FY26E / 1HFY27E DPS Y/Y growth



Source: Company data, J.P. Morgan estimates.

Figure 3: Semi-annual core net profit Y/Y growth



Source: J.P. Morgan estimates, Company data.
Note: including companies reporting 1H26 results only

Results preview / what to watch out for

1H26 results

CK Asset (1113.HK) - Overweight

- **Strong headline earnings growth due to disposals:** Including disposal gains from [UKPN](#) (HK\$8.4bn) and UK Rail (HK\$0.8bn), we forecast a 117% Y/Y growth in headline net profit (HK\$14.8bn).
- **Core net profit growth may, however, remain soft:** Excluding disposal gains from UKPN (but including UK Rail), we forecast a 6% Y/Y decline in core net profit to HK\$6.4bn, due to (1) lower profit contribution from HK DP booking (Blue Coast will be booked in 1H26, but we estimate a very low profit contribution due to low margin); (2) smaller DP delivery in Mainland China; (3) decline in rental income (-2%); (4) lower contribution from infrastructure projects due to disposals.
- **Special dividend, if any, will be small:** While we forecast interim DPS (excluding special DPS, if any) to drop 6% Y/Y due to lower core net profit, we believe it is possible for CKA to declare a special dividend (due to the earlier disposal gains), which may be distributed in either 1H26 or FY26. However, since we believe CKA's priority is to recoup cash in the near term, we expect the special dividend to be minimal, and may be used as a "balancing figure" to keep interim DPS flat by offsetting the decline in core DPS.
- **Watch out for:** (1) any potential special dividend from disposal gains; (2) pricing strategy for upcoming HK residential launches (e.g. Victoria Blossom); (3) capital allocation priorities (especially CKA has likely turned net cash as of end-June 2026 due to disposal proceeds); (4) leasing updates for CKC II; (5) asset disposals.

Henderson Land (12.HK) - Neutral

- **Strong earnings growth from a low base:** We expect core net profit to surge 46% Y/Y to HK\$4.3bn, due to (1) a low base in 1H25 (core net profit fell 44% Y/Y in 1H25 due to a lack of one-off items); (2) higher DP profit contribution from the booking of The Legacy (we estimate a >50% margin & EBIT contribution of HK\$1-2 billion in 1H26), partly offset by projects with lower margin (e.g. Eight Southpark). We expect rental income to remain broadly stable, as the incremental contribution from The Henderson should offset the negative rental reversions in existing properties. We expect a flat interim DPS of HK\$0.5.
- **Farmland resumption may accelerate in 2H26:** Based on the latest progress, we do not expect any profit contribution from farmland resumption in 1H26. That said, as the government is scheduled to resume farmland in San Tin and Hung Shui Kiu in September, we expect Henderson to benefit from this, and there could be profit contribution from farmland resumption in 2H26.
- **Watch out for:** (1) guidance on progress of farmland resumption; (2) latest DP sales and pricing strategy; (3) latest status of shareholders' loans & progress in deleveraging; (4) leasing updates of Central Yards; (5) appetite for fund raising (e.g. CB).

Swire Properties (1972.HK) - Overweight

- **Higher DP profit contribution to offset the mild decline in IP profit:** We forecast a 13% Y/Y growth in core net profit to HK\$3.9bn (but -13% Y/Y if considering the

disposal gains from Miami assets in 1H25). For DP EBIT, we estimate a 68% Y/Y jump to HK\$860mn from the booking of two ultra-luxury houses at 6 Deep Water Bay Road. For rental EBIT, we estimate a mild 3% Y/Y decline due to the loss of contribution of Miami (disposed). Excluding Miami, we expect flattish IP profit, with negative rental reversion in the HK office portfolio (JPMe: -7% Y/Y), partly offset by higher contribution from Mainland China retail (+10%) and HK retail (+2%).

- **High DPS visibility:** We expect a 3% Y/Y growth in interim DPS (same as 1H25), while for FY25, we expect a 5% Y/Y growth as per the company's dividend policy.
- **Watch out for:** (1) Mainland China tenant sales performance; (2) rental reversion in HK office & leasing updates in Taikoo Place; (3) further plans for capital recycling; (4) any changes in financial management after new CFO onboards.

Wharf REIC (1997.HK) - Neutral

- **Mild earnings growth from lower finance costs:** We expect a 2% Y/Y growth in the bottom line and DPS (based on 65% payout from underlying earnings in HK IP & hotel). We expect lower rental income (JPMe: -2% Y/Y) due to negative rental reversion in both retail and office, but offset by lower finance costs (due to smaller net debt & lower HIBOR).
- **Potential sale of Singapore assets:** According to Bloomberg ([link](#)), Wharf REIC is exploring the sale of Wheelock Place and Scotts Square in Singapore at above book value (HK\$7.7bn, or 3.6% of its total IP book value). The two assets are valued at cap rates of 4.4% for retail and 3.8% for office (on NOI basis), and account for 5% of FY25 revenue, or 3% of operating profit. If Wharf REIC is able to dispose of the assets at a premium to book value, this will be positive for the company, and we expect the potential proceeds will be used to reduce net debt and fund the AEI (or redevelopment) of Marco Polo Hotel.
- **Watch out for:** (1) latest HK tenant sales performance; (2) guidance on rental reversion and finance cost; (3) update on Marco Polo AEI/redevelopment; (4) potential asset disposal of Wheelock Place and Scotts Square in Singapore.

Hongkong Land (HKL SP) - Overweight

- **Lower interest expenses to offset negative rental reversion:** Since FY25, HKL has changed the definition of "underlying earnings" by excluding the DP segment (as it becomes a non-strategic business). Under the new definition, we expect 1H26 core net profit to grow 10% Y/Y due to lower interest expenses, partly offset by a lower rental income in HK office (more in "[Takeaways from company call - HK office rental reversion may turn neutral in 2027](#)").
- **Honoring the MSD% dividend growth commitment:** As HKL plans to rebalance the interim/final DPS split (with a MSD% Y/Y growth in annual DPS commitment), we expect interim DPS to grow 5% Y/Y to US\$0.063.
- **Watch out for:** (1) plans for capital recycling; (2) potential asset acquisitions (e.g. Marina One in Singapore); (3) latest office and retail rental reversion guidance; (4) strategies to expand private REITs; (5) updates on investments in Suntec REIT.

Hang Lung Properties (101.HK) - Overweight

- **Focus on operating profit:** At the *operating profit* level, we expect a 2% Y/Y growth due to higher turnover rent in Mainland China retail, partly offset by lower

rental income from HK IP due to negative rental reversion. However, at the **net profit** level, we expect a 2% Y/Y decline due to a lower interest capitalisation ratio alongside completions of Westlake 66. As this is non-cash in nature, we believe operating profit is a better way to assess HLP's true earnings quality.

- **Scrip dividend may ease:** We expect interim DPS to stay flat Y/Y, while the scrip dividend arrangement is likely to cease (as management has guided that this is not intended to be a long-term policy, and we believe capex has peaked with the completion of Westlake 66).
- **Watch out for:** (1) latest Mainland China tenant sales performance and outlook; (2) rental reversion guidance; (3) arrangement for scrip dividend; (4) progress in CEO search; (5) strategies on Westlake 66; (6) updates on asset-light strategies.

CK Hutchison (1.HK) - Overweight

- **Organic growth in underlying businesses:** Excluding the disposal gain of UKPN (HK\$14.5bn), we forecast 11% Y/Y growth in underlying profit to HK\$12.6bn, due to (1) stable growth in most core businesses (we forecast a 2% Y/Y growth in ports due to higher storage income, and a 5% growth in retail due to growth in Europe); (2) higher contribution from Cenovus Energy due to higher oil prices, partly offset by lower contribution from telecom & infrastructure (due to disposal of UKPN and UK Rail; on a like-for-like basis, we expect the infrastructure segment to see a mild Y/Y growth). We forecast a lower 5% Y/Y growth in DPS to HK\$0.75, as historically CKH's EPS & DPS growth have not necessarily been exactly the same. Given CKH's prudent approach, we think DPS growth may be slower than EPS growth.
- **Disposal gains are likely to be excluded from underlying profit:** Including the disposal gain from UKPN, we forecast a 139% Y/Y growth in bottom line to HK\$27bn. That said, we expect this to be excluded from the company's definition of underlying profit for dividend payments.
- **Watch out for:** (1) updates on [ports disposal](#); (2) potential sale or listing of telecom business (ex-UK); (3) [potential listing of AS Watsons](#); (4) potential disposal of Marionnaud; (5) guidance on special dividend.

Jardine Matheson (JM SP) - Overweight

- **We forecast a 3% Y/Y growth in core net profit:** driven by (1) growth in DFI Retail, HKL (JPMe: +10% Y/Y) and Jardine Pacific; (2) lower finance costs, partly offset by a decline in Astra's contribution.
- **5% growth commitment in full-year DPS:** While JM has committed to a 5% Y/Y growth in the full-year dividend (more in "[Revealing the 2030 playbook](#)"), we expect interim DPS to grow 3% Y/Y (in line with the EPS growth), and the company will honor the 5% Y/Y growth in final DPS.
- **Watch out for:** (1) full-year earnings and dividend outlook; (2) capital allocation and recycling strategy; (3) strategy for Indonesia; (4) updates on I-Med.

FY26 results

Sun Hung Kai Properties (16.HK) - Overweight

- **Earnings and DP margin have bottomed out:** We expect FY26 earnings to grow 5% Y/Y to HK\$23 billion, due to more DP completions (we estimate both Cullinan

Sky Ph2 and Cullinan Harbour to contribute ~HK\$1.2-1.3bn of EBIT with a 20-30% margin), partly offset by lower margins in 1H FY26 DP bookings (8% EBIT margin due to bookings of Cullinan Sky Ph1 and Sierra Sea Ph1, which contain zero/very thin margin). Breaking it down into semi-annual, we expect HK DP margin to recover to the teens % level in 2H FY26. However, in 2H26, earnings growth will be partially offset by lower booking contribution from Mainland China (which fetches high margins).

- **DPS to revive growth:** With a 5% Y/Y growth in FY26E EPS, we expect SHKP to maintain a 50% payout ratio (the upper end of the guided 40-50% payout ratio), and thus DPS will grow 5% Y/Y to HK\$3.95.
- **Watch out for:** (1) any change in dividend policy; (2) upcoming DP launch pipeline, pricing strategy & margin guidance; (3) outlook for HK residential market; (4) leasing progress for IGC in Hong Kong / ITC in Shanghai.

Sino Land (83.HK) - Overweight

- **Lumpy earnings as expected:** We forecast an 8% Y/Y decline in FY26 core net profit to HK\$4.7bn, due to (1) lower rental and hotel income; (2) lower interest income, partly offset by a higher DP profit contribution from the booking of the St. George's Mansions. Looking ahead, we expect profit to continue to see Y/Y decline in FY27E due to lower DP profit recognition. That said, we believe this should be anticipated by the market given the company has been operating on a thin land bank over the past few years.
- **DPS to remain stable:** While the payout ratio will exceed 100% (JPMe: 114%), we expect DPS to stay flat at HK\$0.58 due to its net cash position and solid track record.
- **Watch out for:** (1) pricing strategy and margin for the upcoming DP pipeline; (2) capital allocation plan (e.g. land-banking strategy).

New World Development (17.HK) - Neutral

- **Net loss may be a non-event:** We expect a reported net loss of HK\$3.9bn due to (1) impairment, (2) high interest expenses and (3) distribution to perpetuals (although the distribution is delayed, this remains a financial obligation that needs to be recognized in the P&L due to accounting treatment). We also expect no dividend. As NWD has remained loss making since FY23, we expect this to be a non-event.
- **Underlying net loss to narrow:** We expect the underlying net loss to narrow from HK\$2bn to HK\$1.4bn, due to higher HK DP profit contribution from Pavilia Farm III (we estimate an EBIT contribution of HK\$1.5bn) and The Legacy (JPMe JV profit: ~HK\$1bn), and lower finance costs amid a lower HIBOR. A key downside risk is further impairments on 11 SKIES.
- **Watch out for:** (1) balance sheet metrics and deleveraging progress; (2) asset disposal plans (e.g. Mainland China IP); (3) guidance on potential rights issuance/ financial support from controlling family; (4) latest update on 11 SKIES.

1H FY27 results

Link REIT (823.HK) - Overweight

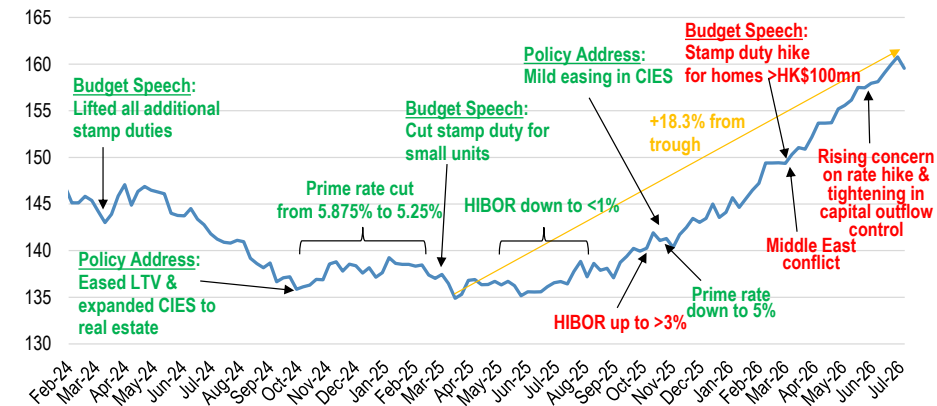
- **Flat DPU:** We forecast a 3% Y/Y decline in NPI due to negative rental reversion in HK retail portfolio, but the decline will be offset by lower G&A, lower financing

costs & reduction in unit count due to buyback. Overall, we expect interim DPU to stay flat Y/Y at HK\$1.27.

- **Expect positive tenant sales print in 1QFY27:** With HK staples retail continuing to stabilize, we expect a positive tenant sales performance in 1QFY27 (Apr - Jun 2026), where the next update by the company will be published in August.
- **Watch out for:** (1) HK tenant sales performance and rental reversion guidance; (2) potential disposal (e.g. 100 Market Street in Sydney); (3) strategy by new CEO; (4) buyback strategy.

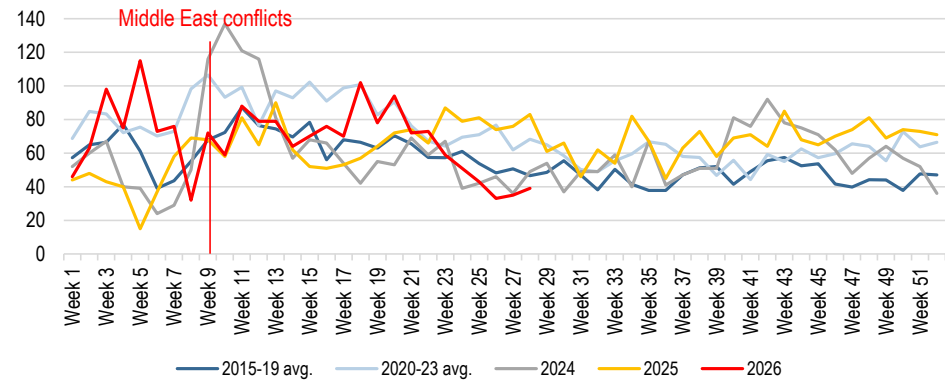
HK Residential

Figure 4: Hong Kong secondary home price index (and major events)



Source: Centaline

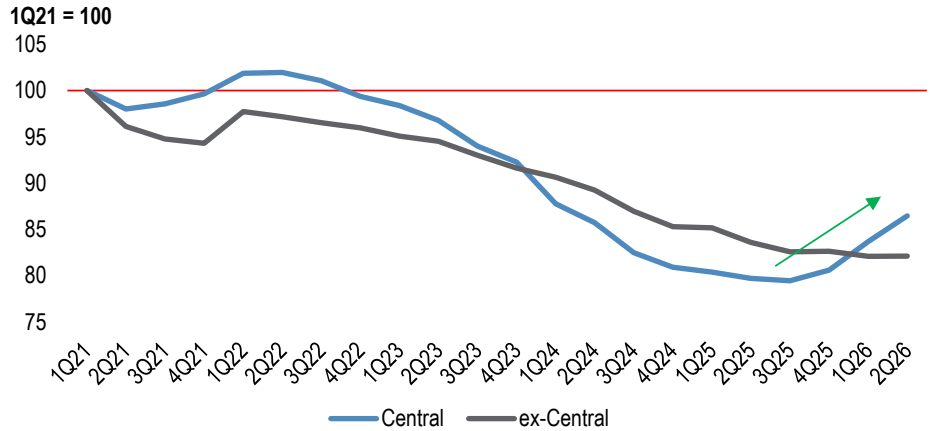
Figure 5: Hong Kong weekly secondary transactions in 35 major estates



Source: Midland.

HK Office

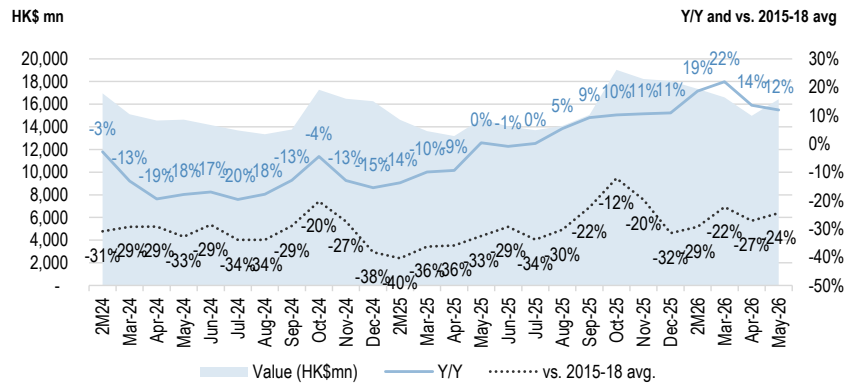
Figure 6: HK Grade-A office rental index (1Q21 = 100)



Source: JLL

HK Retail

Figure 7: Hong Kong monthly retail sales – discretionary

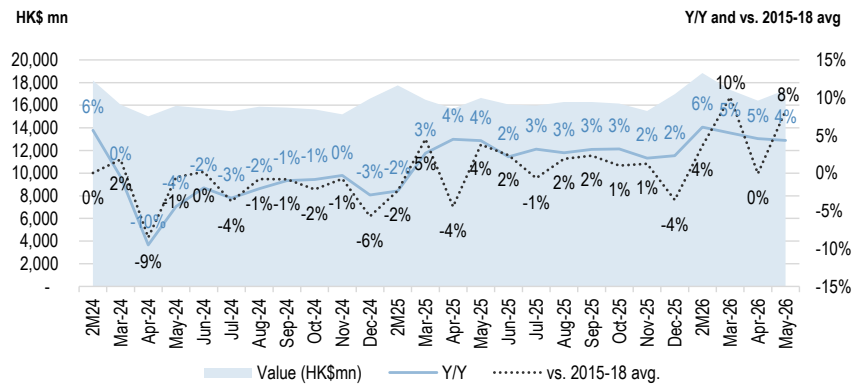


Source: Hong Kong Census & Statistics Department.

Note: Including: (1) clothing, footwear & allied products; (2) jewelry, watches, clocks & valuable goods; (3) department stores; and (4) consumer durable goods.

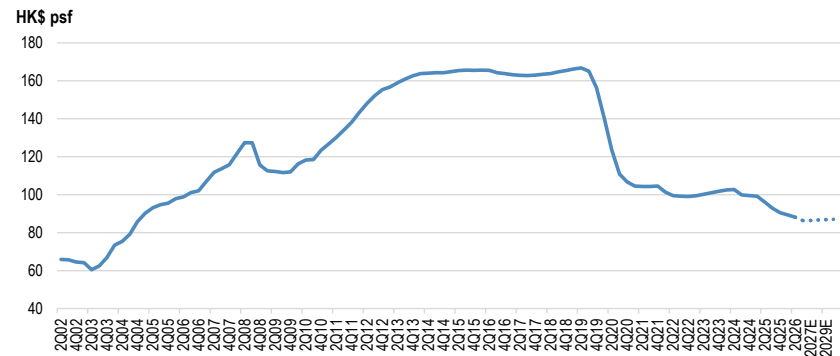
We combined Jan & Feb data into 2M data to eliminate the CNY seasonality.

Figure 8: Hong Kong monthly retail sales – staples



Source: Hong Kong Census & Statistics Department.
Note: Including: (1) food, alcoholic drinks & tobacco; (2) supermarkets; (3) fuel; and (4) other consumer goods (e.g., medicines, optical shops).
We combined Jan & Feb data into 2M data to eliminate the CNY seasonality.

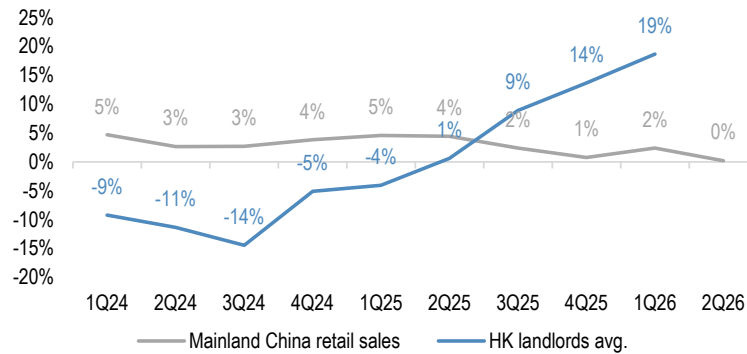
Figure 9: HK overall prime retail net effective rent



Source: JLL

Mainland China Retail

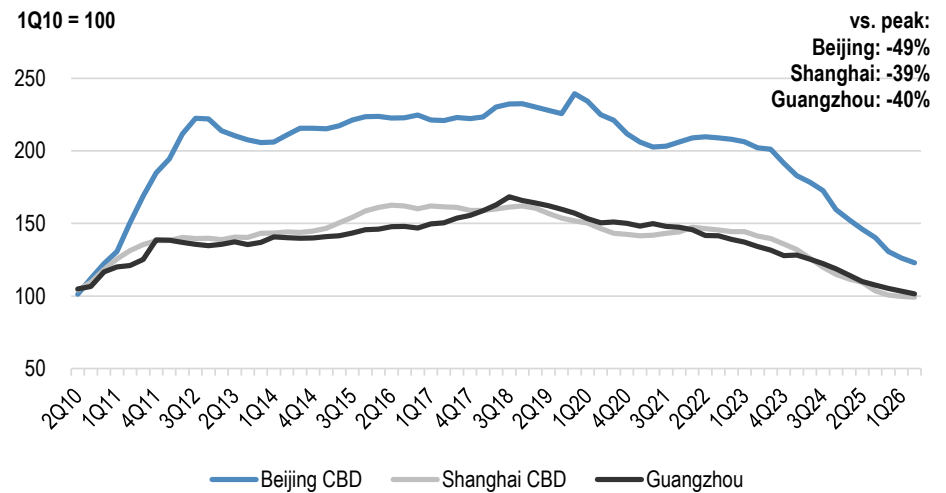
Figure 10: HK landlords' Mainland China tenant sales Y/Y growth vs. Mainland China retail sales



Source: Company data., NBS

Mainland China Office

Figure 11: Mainland China office rents



Source: JLL

Results Announcement Dates

Table 1: HK Property & Conglomerates - expected results announcement dates

					Results announcement		
Company Name	Category	Ticker	Interim /		Date	Time	
HK Land	香港置地	Landlord	HKL SP	Interim	28-Jul-26	Tuesday	After market
Jardine Matheson	怡和	Conglomerate	JM SP	Interim	30-Jul-26	Thursday	After market
Hang Lung Prop	恒隆地產	Landlord	101 HK	Final	31-Jul-26	Friday	Noon
Swire Properties	太古地產	Landlord	1972 HK	Interim	6-Aug-26	Thursday	Noon
Swire Pacific	太古股份 A	Conglomerate	19 HK	Interim	6-Aug-26	Thursday	Noon
Hysan Development	希慎興業	Landlord	14 HK	Interim	13-Aug-26	Thursday	Noon
Fortune REIT	置富產業信託	REIT	778 HK	Interim	Early Aug		After market
Champion REIT	冠君產業信託	REIT	2778 HK	Interim	Early Aug		After market
Wharf REIC	九龍倉置業	Landlord	1997 HK	Interim	Early Aug		Noon
Wharf Holdings	九龍倉集團	Developer	4 HK	Interim	Early Aug		Noon
MTR Corp	香港鐵路	Conglomerate	66 HK	Interim	Mid Aug		After market
CK Asset	長江實業	Developer	1113 HK	Interim	Mid Aug		After market
CK Hutchison Holdings	長和	Conglomerate	1 HK	Interim	Mid Aug		After market
Kerry Properties	嘉里建設	Developer	683 HK	Interim	Late Aug		Noon
Henderson Land	恒基兆業地產	Developer	12 HK	Interim	Late Aug		After market
Sino Land	信和置業	Developer	83 HK	Final	Early Sep		After market
Sun Hung Kai Properties	新鴻基地產	Developer	16 HK	Final	Early Sep		After market
New World Development	新世界發展	Developer	17 HK	Final	Late Sep		After market
Link REIT	領展房產信託	REIT	823 HK	Final	Early Nov		Noon

Source: HKEx, Company data, J.P. Morgan estimates.

Results preview

Dividend

Table 2: HK Property & Conglomerates - Half-yearly DPS

		DPS (HK\$)			Y/Y
Year ending Dec		1HFY25	2HFY25	1HFY26E	1HFY26E
Developers					
CK Asset	1113 HK	0.39	1.39	0.39	0%
Henderson Land	12 HK	0.50	0.76	0.50	0%
Landlords					
Swire Properties	1972 HK	0.35	0.80	0.36	3%
Wharf REIC	1997 HK	0.66	0.66	0.67	2%
HK Land (in US\$)	HKL SP	0.06	0.19	0.06	5%
Hang Lung Properties	101 HK	0.12	0.40	0.12	0%
Conglomerates					
CK Hutchison	1 HK	0.71	1.60	0.75	5%
Jardine Matheson (in US\$)	JM SP	0.60	1.75	0.62	3%
Average					2%
Year ending Mar		1HFY26	2HFY26	1HFY27E	1HFY27E
REITs					
Link REIT	823 HK	1.27	1.27	1.27	0%

Source: Company data, J.P. Morgan estimates.

Table 3: HK Property - Annual DPS

		DPS (HK\$)				Y/Y			
Year Ending Jun		FY25	FY26E	FY27E	FY28E	FY25	FY26E	FY27E	FY28E
Developers									
Sun Hung Kai Properties	16 HK	3.75	3.95	4.19	4.50	0%	5%	6%	7%
Sino Land	83 HK	0.58	0.58	0.58	0.58	0%	0%	0%	0%
New World Development	17 HK	-	-	-	-	-100%	-	-	-

Source: Company data, J.P. Morgan estimates.

Dividend Payout

Table 4: HK Property & Conglomerates - Half-yearly dividend payout ratio

		Payout Ratio (%) (on core)			Y/Y
Year ending Dec		1HFY25	2HFY25	1HFY26E	1HFY26E
Developers					
CK Asset	1113 HK	20%	94%	21%	1%
Henderson Land	12 HK	79%	122%	56%	-24%
Landlords					
Swire Properties	1972 HK	59%	162%	54%	-5%
Wharf REIC	1997 HK	64%	60%	64%	0%
HK Land (in US\$)	HKL SP	57%	180%	53%	-4%
Hang Lung Properties	101 HK	36%	125%	39%	3%
Conglomerates					
CK Hutchison	1 HK	24%	56%	23%	-1%
Jardine Matheson	JM SP	26%	58%	26%	0%
Average					-8%
Year ending Mar		1HFY26	2HFY26	1HFY27E	1HFY27E
REITs					
Link REIT	823 HK	100%	100%	100%	0%

Source: Company data, J.P. Morgan estimates.

Table 5: HK Property - Annual dividend payout ratio

		Payout ratio (on core)				Y/Y			
Year Ending Jun		FY25	FY26E	FY27E	FY28E	FY25	FY26E	FY27E	FY28E
Developers									
Sun Hung Kai Properties	16 HK	50%	50%	50%	50%	0%	0%	0%	0%
Sino Land	83 HK	101%	114%	124%	103%	6%	13%	11%	-21%
New World Development	17 HK	0%	0%	0%	0%	n/m	n/m	n/m	n/m

Source: Company data, J.P. Morgan estimates.

Core net profit

Table 6: HK Property & Conglomerates - Interim core net profit

		Core net profit (HK\$ mn)			Y/Y
Year ending Dec		1HFY25	2HFY25	1HFY26E	1HFY26E
Developers					
CK Asset	1113 HK	6,805	5,155	6,386	-6%
Henderson Land	12 HK	3,048	3,015	4,336	42%
Landlords					
Swire Properties (recurring UNP)	1972 HK	3,420	2,840	3,867	13%
Wharf REIC	1997 HK	3,119	3,337	3,171	2%
HK Land (in US\$)*	HKL SP	230	228	254	10%
Hang Lung Properties	101 HK	1,587	1,615	1,559	-2%
Conglomerates					
CK Hutchison	1 HK	11,321	10,989	12,596	11%
Jardine Matheson (in US\$)*	JM SP	670	883	693	3%
Average					9%
Year ending Mar		1HFY26	2HFY26	1HFY27E	1HFY27E
REITs					
Link REIT	823 HK	3,283	3,294	3,291	0%

Source: Company data, J.P. Morgan estimates.

Note: *HKL's core net profit has been restated to exclude DP business; JM's core net profit has been restated to exclude the disposals at JC&C and DFI Retail, DP segment at HKL, and accounting treatment of Zhongsheng.

For CK Asset, disposal gain of UKPN is excluded.

For Hang Lung Properties, the earnings drop is due to a lower interest capitalization ratio.

Table 7: HK Property - Annual core net profit

		Core net profit (HK\$ mn)				Y/Y			
Year Ending Jun		FY25	FY26E	FY27E	FY28E	FY25	FY26E	FY27E	FY28E
Developers									
Sun Hung Kai Properties	16 HK	21,855	23,013	24,301	26,096	1%	5%	6%	7%
Sino Land	83 HK	5,118	4,702	4,432	5,318	-1%	-8%	-6%	20%
New World Development	17 HK	(2,002)	(1,365)	(2,177)	(2,477)	n/m	n/m	n/m	n/m

Source: J.P. Morgan estimates, Company data.

Revenue

Table 8: HK Property & Conglomerates - Half-yearly revenue

		Revenue (HK\$ mn)			Y/Y
Year ending Dec		1HFY25	2HFY25	1HFY26E	1HFY26E
Developers					
CK Asset	1113 HK	7,366	13,083	19,912	170%
Henderson Land	12 HK	9,552	16,189	14,312	50%
Landlords					
Swire Properties	1972 HK	8,723	7,318	9,105	4%
Wharf REIC	1997 HK	6,407	6,408	6,294	-2%
HK Land (in US\$)	HKL SP	517	542	500	-3%
Hang Lung Properties	101 HK	4,968	4,982	5,790	17%
Conglomerates					
CK Hutchison	1 HK	240,663	266,634	249,834	4%
Jardine Matheson (in US\$)	JM SP	17,078	16,739	16,180	-5%
Average					9%

Source: Company data, J.P. Morgan estimates.

Table 9: HK property - Annual revenue

		Revenue (HK\$ mn)				Y/Y			
Year Ending Jun		FY25	FY26E	FY27E	FY28E	FY25	FY26E	FY27E	FY28E
Developers									
Sun Hung Kai Properties	16 HK	79,721	87,295	75,482	76,808	11%	10%	-14%	2%
Sino Land	83 HK	8,183	9,208	10,901	9,283	-7%	13%	18%	-15%
New World Development	17 HK	27,681	22,578	20,547	16,543	-23%	-18%	-9%	-19%

Source: J.P. Morgan estimates, Company data.

DP margin

Table 10: HK DP EBIT margin time series

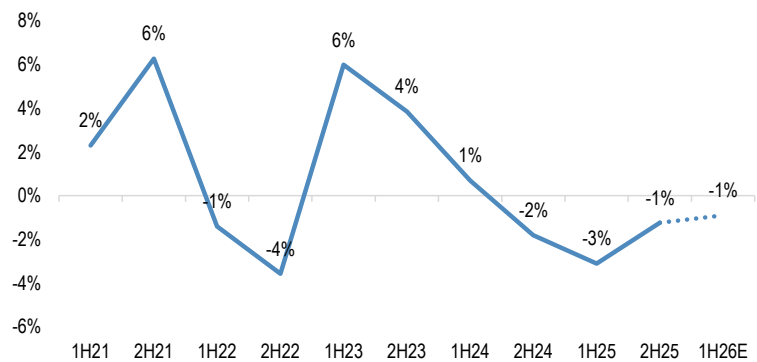
	FY20	FY21	FY22	FY23	FY24	FY25	1HFY26E	FY26E	FY27E	FY28E
SHKP*	44%	42%	45%	36%	26%	12%	8%	9%	19%	25%
Henderson Land	44%	39%	22%	15%	11%	8%	33%	23%	17%	29%
Sino Land*	35%	52%	47%	25%	9%	9%	7%	14%	2%	12%
CK Asset	43%	44%	44%	36%	28%	4%	9%	4%	11%	17%
Kerry Properties	51%	37%	28%	20%	22%	8%	-	-	-	-
Average	44%	43%	37%	26%	19%	8%	14%	13%	12%	21%

Source: Company data, J.P. Morgan estimates.

Note:*SHKP & Sino Land 1HFY26 figures are actual numbers

Rental income

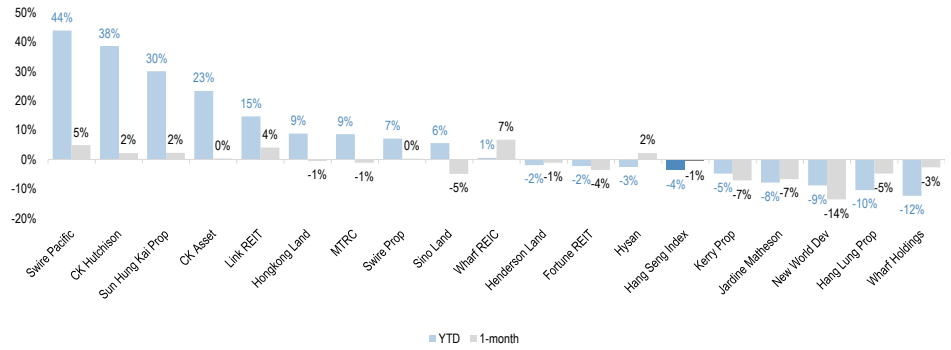
Figure 12: HK Property - average rental income Y/Y



Source: J.P. Morgan estimates, Company data.

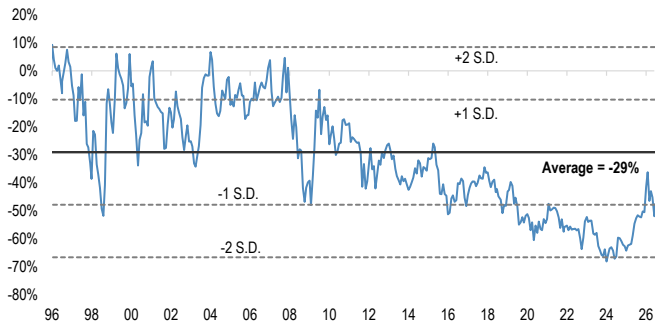
Sector Valuation / Share Price Performance

Figure 13: HK Property & Conglomerates - YTD and 1-month share price performance



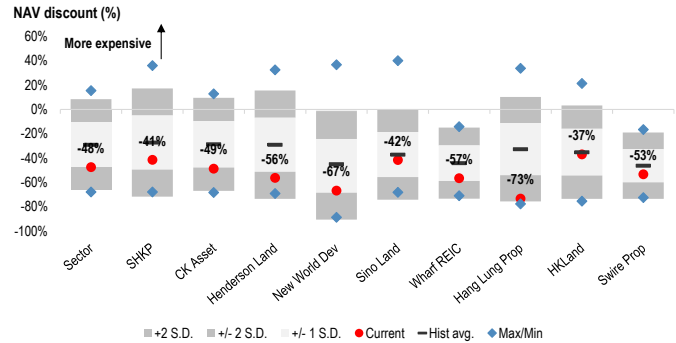
Source: Bloomberg Finance L.P.

Figure 14: Sector NAV discount



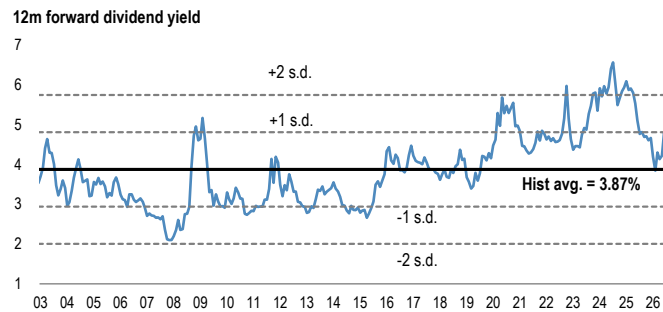
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 15: NAV discount by company



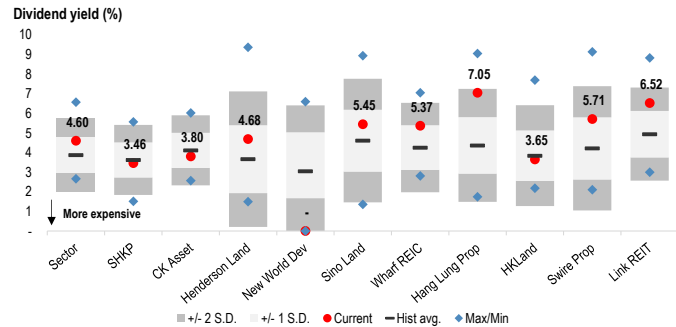
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 16: 12m forward dividend yield



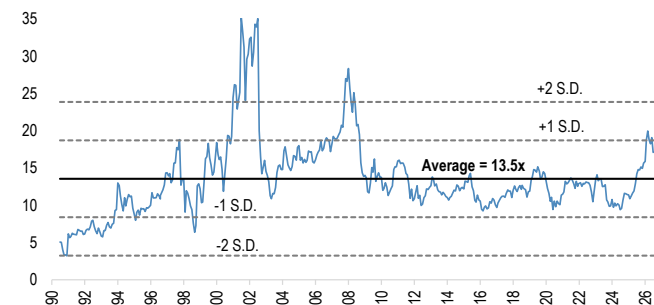
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 17: 12m forward dividend yield by company



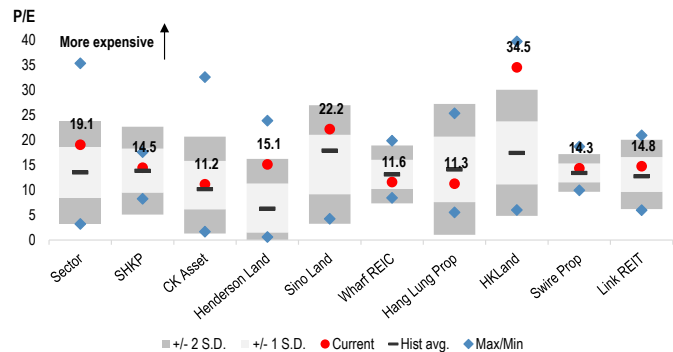
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 18: 12m forward P/E



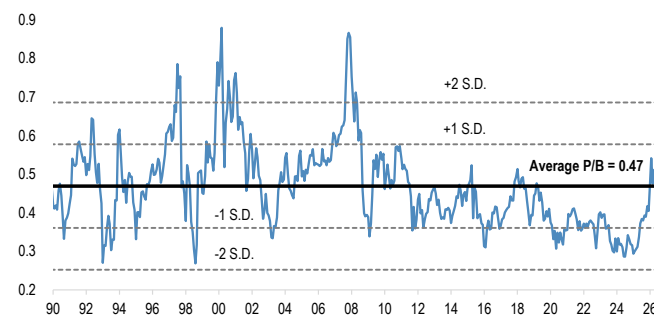
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 19: 12m forward P/E by company



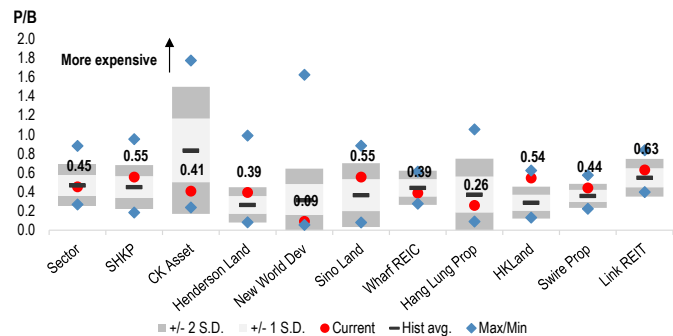
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 20: 12m forward P/B



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 21: 12m forward P/B by company



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 11: Hong Kong Property and Conglomerates – Valuation Summary

Company	Stock Code	JPM Rating	Last Close (HK\$)	Market			P/E		Dvd Yield		P/B		Share Price Return			
				Cap US\$M	ADV US\$M	NAV Discount	1FY (x)	2FY (x)	1FY (%)	2FY (%)	1FY (x)	2FY (x)	5D	YTD	1Y	Peak
Hong Kong Property																
Sun Hung Kai Properties	0016.HK	OW	122.30	45,208	92.5	-41%	15.5	14.5	3.2%	3.4%	0.6	0.6	8%	30%	40%	-17%
CK Asset	1113.HK	OW	47.14	21,045	31.6	-49%	14.1	13.9	3.8%	3.8%	0.4	0.4	6%	23%	40%	-9%
Henderson Land	0012.HK	N	26.90	16,613	34.0	-56%	17.3	14.3	4.7%	4.7%	0.4	0.4	5%	-2%	6%	-23%
Sino Land	0083.HK	OW	10.65	13,023	13.3	-39%	20.8	22.8	5.4%	5.4%	0.6	0.6	3%	6%	30%	-20%
New World Development	0017.HK	N	6.63	2,128	6.0	-73%	-12.2	-7.7	0.0%	0.0%	0.1	0.1	1%	-9%	19%	-89%
Wharf Holdings	0004.HK	NC	18.89	7,364	12.5	-	12.7	11.3	2.2%	2.4%	0.4	0.4	-1%	-12%	-16%	-38%
Kerry Properties	0683.HK	NC	18.45	3,425	5.2	-	13.8	6.4	7.3%	7.3%	0.3	0.2	0%	-5%	-3%	-26%
Developers					52.4	-41%	15.4	14.5	3.8%	3.9%	0.5	0.5	6%	16%	28%	-20%
Swire Properties	1972.HK	OW	21.64	15,952	9.6	-54%	15.6	15.0	5.6%	5.8%	0.5	0.5	2%	7%	17%	-18%
Wharf REIC	1997.HK	N	24.02	9,303	14.5	-56%	11.6	11.7	5.3%	5.3%	0.4	0.4	7%	1%	10%	-47%
HK Land (in US\$)	HKLD.SI	OW	7.34	15,798	21.2	-46%	34.2	32.4	3.6%	3.8%	0.5	0.5	4%	9%	22%	-18%
Hang Lung Properties	0101.HK	OW	7.37	4,898	9.3	-73%	11.3	11.8	7.1%	7.1%	0.3	0.3	3%	-10%	4%	-63%
Hysan	0014.HK	NC	17.56	2,314	5.5	-	8.6	10.2	6.2%	6.2%	0.3	0.3	2%	-3%	24%	-39%
Landlords					14.1	-51%	20.2	19.5	5.1%	5.2%	0.4	0.4	4%	4%	16%	-29%
Link REIT	0823.HK	OW	38.40	12,683	54.7	-	15.7	15.4	6.4%	6.5%	0.6	0.6	3%	15%	-3%	-41%
Fortune REIT	778.HK	NC	4.62	1,212	1.6	-	25.8	25.8	7.4%	7.4%	0.4	0.4	1%	-2%	1%	-33%
Champion REIT	2778.HK	NC	2.18	1,706	0.6	-	17.4	17.0	6.4%	6.7%	0.3	0.3	-1%	-13%	3%	-50%
REITs					44.6	-	16.7	16.4	6.4%	6.6%	0.6	0.5	2%	10%	-2%	-42%
Hong Kong Property (Overall)					41.0	-40%	16.8	16.0	4.4%	4.5%	0.5	0.5	5%	12%	22%	-24%
CK Hutchison	0001.HK	OW	71.65	35,006	70.8	-52%	8.8	13.6	4.5%	2.9%	0.5	0.5	10%	39%	54%	-8%
Jardine Matheson	JARD.SI	OW	61.59	18,117	25.0	-42%	11.0	8.4	4.0%	4.1%	0.6	0.6	1%	-8%	24%	-24%
Swire Pacific	19.HK	NC	87.65	13,456	10.4	-	10.6	9.8	4.6%	4.9%	0.4	0.4	5%	44%	32%	-4%
Conglomerates					46.2	-49%	9.8	11.4	4.4%	3.6%	0.5	0.5	7%	27%	42%	-12%

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates., as of 15 July 2026.

Note: Companies marked "NC" are not covered by JPM; estimates for NC names are based on consensus estimates from Bloomberg Finance L.P.

Overweight

1113.HK, 1113 HK

Price (15 Jul 26):HK\$47.14

Price Target (Jun-27):HK\$52.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}

(852) 2800-8513

karl.chan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
NAVPS - 26E (HK\$)	112.00	115.59	3.2%
NAVPS - 27E (HK\$)	112.36	116.03	3.3%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	14	11	14	15	10
Growth	77	90	85	60	71
Momentum	21	66	72	77	73
Quality	77	68	71	47	38
Low Vol	11	10	17	10	27
ESGQ	95	86	92	14	94

CK Asset Holdings Ltd (1113)

Prioritizing defensiveness over growth

We revise up our earnings estimates to reflect the latest DP sales progress and ASP. We roll over our price target to Jun-27 with no change in our price target.

Price Performance



	YTD	1m	3m	12m
Abs	19.9%	0.3%	-2.8%	34.1%
Rel	23.6%	1.0%	2.0%	33.7%

Company Data

Shares O/S (mn)	3,500
52-week range (HK\$)	52.35-34.75
Market cap (\$ mn)	21,049
Exchange rate	7.84
Free float (%)	42.1%
3M ADV (mn)	5.25
3M ADV (\$ mn)	31.7
Volatility (90 Day)	27
Index	HSI
BBG ANR (Buy Hold Sell)	7 3 0

Key Metrics (FYE Dec)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	57,935	62,696	50,279	59,505
Adj. EBITDA	21,417	18,074	18,152	21,150
Adj. EBIT	19,218	15,875	15,953	18,951
Adj. net income	11,946	11,726	11,853	14,136
Adj. EPS	3.41	3.35	3.39	4.04
BBG EPS	3.92	4.46	3.81	4.42
Cashflow from operations	21,364	3,337	4,060	6,398
FCFF	18,764	3,291	4,014	6,352
Margins and Growth				
Revenue Growth Y/Y (%)	27.2%	8.2%	(19.8%)	18.3%
EBITDA margin	37.0%	28.8%	36.1%	35.5%
EBITDA Growth Y/Y (%)	9.9%	(15.6%)	0.4%	16.5%
EBIT margin	33.2%	25.3%	31.7%	31.8%
Net margin	20.6%	18.7%	23.6%	23.8%
Adj. EPS growth	2.6%	(1.8%)	1.1%	19.3%
Ratios				
Adj. tax rate	30.8%	13.4%	21.6%	22.5%
Interest cover	8.1	9.2	14.6	20.4
Net debt/Equity	0.0	0.0	0.1	0.1
Net debt/EBITDA	0.4	1.0	1.3	1.4
ROCE	2.9%	3.1%	2.9%	3.3%
ROE	3.0%	2.9%	2.9%	3.5%
Valuation				
FCFF yield	11.4%	2.0%	2.4%	3.8%
Dividend yield	3.8%	3.8%	3.8%	4.6%
EV/Revenue	3.0	2.9	3.7	3.2
EV/EBITDA	8.0	9.9	10.2	9.0
Adj. P/E	13.8	14.1	13.9	11.7

Summary Investment Thesis and Valuation

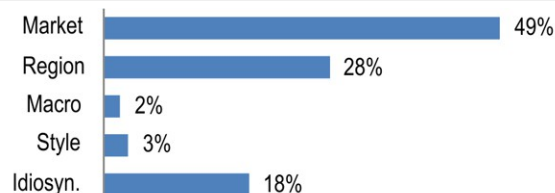
Investment Thesis

We are Overweight on CKA as we believe the company will offer relative outperformance amid the recent macro uncertainties, with its soon-to-be net cash position and low earnings sensitivity to a rate hike scenario. Special dividend from the disposal of UKPN is also a near-term upside risk.

Valuation

Our Jun-27 PT of HK\$52 is based on a 43% discount to NAV, which is 0.75 S.D. below the historical average.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.73	0.70
Region: Hong Kong	0.71	0.76
Macro:		
Citi Economic Surprise - EM	0.23	0.20
Markit EM Composite PMI SA	-0.15	-0.12
JPM Forecast Revision EM	0.11	0.11
Quant Styles:		
LowVol	0.23	0.24
Value	0.13	0.24
Growth	-0.15	-0.23

Investment Thesis, Valuation and Risks

CK Asset Holdings Ltd (1113) *(Overweight; Price Target: HK\$52.00)*

Investment Thesis

We are Overweight on CKA as we believe the company will offer relative outperformance amid the recent macro uncertainties, with its soon-to-be net cash position and low earnings sensitivity to a rate hike scenario. Special dividend from the disposal of UKPN is also a near-term upside risk.

Valuation

Our Jun-27 PT of HK\$52 is based on a 43% discount to NAV, which is 0.75 S.D. below the historical average.

	Jun-27		
	HK\$MM	HK\$/sh	% of GAV
Property Development			
Hong Kong			
Luxury residential	10,057	2.9	3.2%
Mass residential	56,725	16.2	17.9%
Agricultural Landbank/Others	7,870	2.2	2.5%
Hong Kong Dev	74,652	21.3	23.6%
Mainland China			
Res/Com	12,549	3.6	4.0%
Mainland China Dev	12,549	3.6	4.0%
Other Overseas Dev			
SG/UK/Others	15,492	4.4	4.9%
Total Property Development	102,693	29.3	32.4%
Investment Property			
Hong Kong			
Residential	1,314	0.4	0.4%
Office	30,516	8.7	9.6%
Retail	27,517	7.9	8.7%
Industrial / Others	25,837	7.4	8.2%
Hong Kong Inv Pty	85,184	24.3	26.9%
Mainland China			
Office	607	0.2	0.2%
Retail	4,320	1.2	1.4%
Mainland China Inv Pty	4,927	1.4	1.6%
Overseas			
UK	9,694	2.8	3.1%
Total Investment Property	99,805	28.5	31.5%
Hotel			
HK	34,638	9.9	10.9%
Mainland China	2,342	0.7	0.7%
Total Hotel	36,980	10.6	11.7%
Investments			
Fortune REIT (778 HK)	2,644	0.8	0.8%
Prosperity REIT (808 HK)	398	0.1	0.1%
Hui Xian REIT (87001 HK)	1,094	0.3	0.3%
ARA Asset Management (ARA SP) - privatized	867	0.2	0.3%
CK William JV	12,595	3.6	4.0%
Reliance Home JV	10,082	2.9	3.2%
Ista JV	16,309	4.7	5.1%
Greene King (6x EV/EBITDA)	31,417	9.0	9.9%
LT Loan Receivables	2,085	0.6	0.7%
Total Investments	77,491	22.1	24.4%
Gross Asset Value	316,969	90.6	100.0%
Gross debt (incl. perps)	(59,289)	(16.9)	
Less Cash & Short Term Deposits	63,894	18.3	
Net debt	4,605	1.3	
NAV	321,574	91.9	

Source: J.P. Morgan estimates.

Note: We apply DCF for property development (assume 10% home price growth in FY26, and 5% p.a. for all subsequent years), and cap rates (ranging from 3% to 9%, depending on project location) for property investment. For listed subsidiaries, we use market value; for JVs, we use book values.

Risks to Rating and Price Target

Key upside risks: (1) a very strong recovery in the Hong Kong residential market; (2) better-than-expected rental income; (3) better-than-expected income from infrastructure; (4) better-than-expected dividend.

Key downside risks: (1) worse-than-expected dividend; (2) worse-than-expected Hong Kong property sales; (3) worse-than-expected rental income; (4) worse-than-expected income from infrastructure.

CK Asset Holdings Ltd (1113): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	45,529	57,935	62,696	50,279	59,505	Cash flow from operating activities	14,639	21,364	3,337	4,060	6,398
COGS	-	-	-	-	-	o/w Depreciation & amortization	1,926	2,199	2,199	2,199	2,199
Gross profit	-	-	-	-	-	o/w Changes in working capital	(151)	2,375	(10,000)	(10,000)	(10,000)
SG&A	-	-	-	-	-						
Adj. EBITDA	19,492	21,417	18,074	18,152	21,150	Cash flow from investing activities	(7,751)	(2,600)	(46)	(46)	(46)
D&A	(1,926)	(2,199)	(2,199)	(2,199)	(2,199)	o/w Capital expenditure	(5,282)	(3,173)	0	0	0
Adj. EBIT	17,566	19,218	15,875	15,953	18,951	as % of sales	11.6%	5.5%	0.0%	0.0%	0.0%
Net Interest	(1,461)	(2,657)	(1,957)	(1,242)	(1,036)						
Adj. PBT	16,322	16,062	23,799	15,474	18,677	Cash flow from financing activities	(13,300)	(13,090)	(27,988)	(12,329)	(13,355)
Tax	(2,588)	(4,954)	(3,189)	(3,335)	(4,200)	o/w Dividends paid	(7,107)	(6,341)	(6,714)	(6,583)	(7,850)
Minority Interest	(77)	(261)	(484)	(285)	(340)	o/w Shares issued/(repurchased)	(1,551)	0	0	0	0
Adj. Net Income	11,688	11,946	11,726	11,853	14,136	o/w Net debt issued/(repaid)	(848)	(3,952)	(17,000)	(2,000)	(2,000)
Reported EPS	3.89	3.10	5.75	3.39	4.04	Net change in cash	(6,412)	5,674	(24,697)	(8,315)	(7,003)
Adj. EPS	3.33	3.41	3.35	3.39	4.04						
						Adj. Free cash flow to firm	6,888	18,764	3,291	4,014	6,352
DPS	1.74	1.78	1.78	1.80	2.15	y/y Growth	(197.6%)	172.4%	(82.5%)	22.0%	58.2%
Payout ratio	44.8%	57.4%	31.0%	53.1%	53.1%						
Shares outstanding	3,514	3,500	3,500	3,500	3,500						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	36,069	41,743	17,046	8,731	1,728	Gross margin	-	-	-	-	-
Accounts receivable	10,072	9,564	9,564	9,564	9,564	EBITDA margin	42.8%	37.0%	28.8%	36.1%	35.5%
Inventories	129,776	122,799	130,799	138,799	146,799	EBIT margin	38.6%	33.2%	25.3%	31.7%	31.8%
Other current assets	0	0	0	0	0	Net profit margin	25.7%	20.6%	18.7%	23.6%	23.8%
Current assets	175,917	174,106	157,409	157,094	158,091						
PP&E	220,917	224,562	222,363	220,164	217,965	ROE	3.0%	3.0%	2.9%	2.9%	3.5%
LT investments	11,485	9,759	9,759	9,759	9,759	ROA	2.3%	2.4%	2.3%	2.4%	2.9%
Other non current assets	104,947	110,830	110,889	110,949	111,010	ROCE	3.3%	2.9%	3.1%	2.9%	3.3%
Total assets	501,781	509,498	490,661	488,207	487,065	SG&A/Sales	-	-	-	-	-
						Net debt/Equity	0.0	0.0	0.0	0.1	0.1
Short term borrowings	11,139	11,643	11,643	11,643	11,643	Net debt/EBITDA	0.9	0.4	1.0	1.3	1.4
Payables	29,479	26,240	24,240	22,240	20,240						
Other short term liabilities	714	1,189	1,189	1,189	1,189	Sales/Assets (x)	0.1	0.1	0.1	0.1	0.1
Current liabilities	41,332	39,072	37,072	35,072	33,072	Assets/Equity (x)	1.3	1.3	1.2	1.2	1.2
Long-term debt	41,577	39,717	22,717	20,717	18,717	Interest cover (x)	13.3	8.1	9.2	14.6	20.4
Other long term liabilities	18,672	22,028	22,028	22,028	22,028	Operating leverage	234.4%	34.5%	(211.6%)	(2.5%)	102.4%
Total liabilities	101,581	100,817	81,817	77,817	73,817	Tax rate	15.9%	30.8%	13.4%	21.6%	22.5%
Shareholders' equity	395,604	404,371	404,534	406,080	408,938	Revenue y/y Growth	(3.6%)	27.2%	8.2%	(19.8%)	18.3%
Minority interests	4,596	4,310	4,310	4,310	4,310	EBITDA y/y Growth	(7.7%)	9.9%	(15.6%)	0.4%	16.5%
Total liabilities & equity	501,781	509,498	490,661	488,207	487,065	EPS y/y Growth	(15.3%)	2.6%	(1.8%)	1.1%	19.3%
BVPS	113.04	115.54	115.59	116.03	116.85	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	1.9%	2.2%	0.0%	0.4%	0.7%	P/E (x)	14.2	13.8	14.1	13.9	11.7
						P/BV (x)	0.4	0.4	0.4	0.4	0.4
RNAV/Share	-	-	91.88	-	-	EV/EBITDA (x)	9.2	8.0	9.9	10.2	9.0
Net debt/(cash)	16,647	9,617	17,314	23,629	28,632	Dividend Yield	3.7%	3.8%	3.8%	3.8%	4.6%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Neutral

0012.HK, 12 HK

Price (15 Jul 26):HK\$26.90

Price Target (Jun-27):HK\$27.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}

(852) 2800-8513

karl.chan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

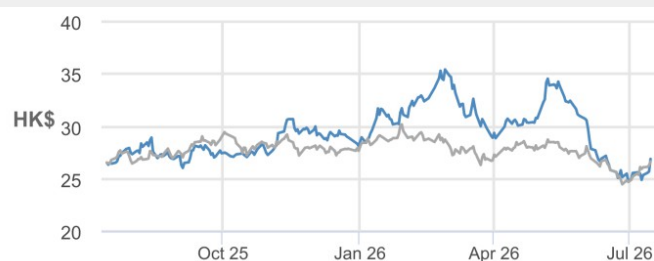
Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	43	35	33	33	26
Growth	76	86	76	70	82
Momentum	73	76	83	55	72
Quality	80	76	69	65	30
Low Vol	19	23	23	20	8
ESGQ	92	97	98	95	90

Henderson Land Development (0012)

Higher earnings sensitivity to a rate hike scenario

We revise down our earnings forecasts to reflect the latest DP sales progress and ASP. We roll over our price target to Jun-27 with no change in our price target.

Price Performance



	YTD	1m	3m	12m
Abs	-4.4%	-1.1%	-12.2%	1.3%
Rel	-0.7%	-0.5%	-7.3%	0.9%

Company Data

Shares O/S (mn)	4,841
52-week range (HK\$)	35.66-24.58
Market cap (\$ mn)	16,616
Exchange rate	7.84
Free float (%)	25.0%
3M ADV (mn)	9.08
3M ADV (\$ mn)	34.0
Volatility (90 Day)	30
Index	HSI
BBG ANR (Buy Hold Sell)	8 3 0

Key Metrics (FYE Dec)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	25,741	25,258	27,939	25,575
Adj. EBITDA	6,524	9,042	10,628	11,417
Adj. EBIT	6,058	8,529	10,065	10,797
Adj. net income	6,063	7,533	9,103	10,301
Adj. EPS	1.25	1.56	1.88	2.13
BBG EPS	1.59	1.60	1.85	2.33
Cashflow from operations	11,324	13,510	14,413	16,570
FCFF	9,628	14,539	15,539	17,565
Margins and Growth				
Revenue Growth Y/Y (%)	1.9%	(1.9%)	10.6%	(8.5%)
EBITDA margin	25.3%	35.8%	38.0%	44.6%
EBITDA Growth Y/Y (%)	(39.2%)	38.6%	17.5%	7.4%
EBIT margin	23.5%	33.8%	36.0%	42.2%
Net margin	23.6%	29.8%	32.6%	40.3%
Adj. EPS growth	(38.0%)	24.2%	20.8%	13.2%
Ratios				
Adj. tax rate	3.7%	12.1%	12.5%	12.4%
Interest cover	3.3	3.9	4.4	5.0
Net debt/Equity	0.4	0.4	0.3	0.3
Net debt/EBITDA	21.6	14.3	11.0	9.0
ROCE	1.2%	1.5%	1.8%	1.9%
ROE	1.9%	2.3%	2.6%	2.9%
Valuation				
FCFF yield	7.4%	11.2%	11.9%	13.5%
Dividend yield	4.7%	4.7%	4.7%	4.7%
EV/Revenue	6.0	5.4	4.2	3.8
EV/EBITDA	23.8	15.1	11.1	8.5
Adj. P/E	21.5	17.3	14.3	12.6

Summary Investment Thesis and Valuation

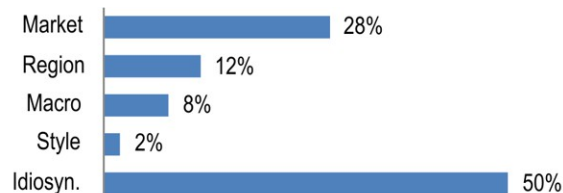
Investment Thesis

We are Neutral on Henderson Land as we believe its earnings, due to its higher leverage, would be more sensitive to a rate hike scenario (not our base case though). Its dividend yield is also not attractive compared to some peers which have a much higher DPS certainty (e.g. Sino Land). However, we believe Henderson is still on track to revive earnings growth, and if expectations for a rate cut revive, we could turn more positive on Henderson Land again.

Valuation

Our Jun-27 PT of HK\$27 is based on a 56% discount to NAV, which is 1 S.D. below its historical average, and is wider than peers to factor in its higher leverage (thus higher earnings sensitivity to rate hikes).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.72	0.53
Region: Hong Kong	0.52	0.40
Macro:		
Generic 1st 'CO' Future	0.35	0.23
JPM Global Equity Sentiment	-0.15	-0.20
Emerging Central Bank Rate	0.19	0.16
Quant Styles:		
Growth	-0.29	-0.29
DivYld	0.09	0.24
Value	0.08	0.24

Investment Thesis, Valuation and Risks

Henderson Land Development (0012) (Neutral; Price Target: HK\$27.00)

Investment Thesis

We are Neutral on Henderson Land as we believe its earnings, due to its higher leverage, would be more sensitive to a rate hike scenario (not our base case though). Its dividend yield is also not attractive compared to some peers which have a much higher DPS certainty (e.g. Sino Land). However, we believe Henderson is still on track to revive earnings growth, and if expectations for a rate cut revive, we could turn more positive on Henderson Land again.

Valuation

Our Jun-27 PT of HK\$27 is based on a 56% discount to NAV, which is 1 S.D. below its historical average, and is wider than peers to factor in its higher leverage (thus higher earnings sensitivity to rate hikes).

	Jun-27 HK\$MM	HK\$/sh	% of GAV
Hong Kong Property Development			
Lux Res	22,547	4.7	5%
Mass Res	33,281	6.9	8%
Confirmed Projects	55,828	11.5	13%
Urban redevelopment with 100% ownership	20,000	4.1	5%
Others	6,500	1.3	1%
Agricultural land	40,500	8.4	9%
Total HK Property Development	122,828	25.4	28%
Hong Kong Investment Property			
Office	120,519	24.9	28%
Retail	72,899	15.1	17%
Industrial	511	0.1	0%
Residential	8,257	1.7	2%
Carparks	8,994	1.9	2%
Hotels	1,570	0.3	0%
HK Investment Property	212,750	43.9	49%
Mainland China Property			
Mainland China DP	14,920	3.1	3%
Mainland China IP - existing	34,708	7.2	8%
Mainland China IP - under development	389	0.1	0%
Mainland China Property	50,017	10.3	11%
Total Property	379,095	78.3	87%
Non-property Investments			
Hong Kong & China Gas (0003.HK)	51,611	10.7	12%
Hong Kong Ferry (0050.HK)	576	0.1	0%
Miramar Hotel (0071.HK)	3,474	0.7	1%
Henderson Investment (0097.HK)	312	0.1	0%
Sunlight REIT (0435.HK)	783	0.2	0%
Non-property Investments	56,757	11.7	13%
GAV	435,852	90.0	100%
Total debt (incl. shareholder loans)	(163,035)	(33.7)	
Less: Cash	22,198	4.6	
Net debt	(140,837)	(29.1)	
NAV	295,015	60.9	
No. of shares	4,841		
NAV per Share	60.9		

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Note: We apply DCF for property development (assume 10% home price growth in FY26, and 5% p.a. for all subsequent years), and cap rates (ranging from 3% to 9%, depending on project location) for property investment. For listed subsidiaries, we use market value.

Risks to Rating and Price Target

Downside risks include: (1) worse-than-expected deterioration in Hong Kong's residential market; and (2) a lower-than-expected dividend.

Upside risks include: (1) faster-than-expected farmland conversion; (2) higher-than-expected dividend; (3) stronger-than-expected recovery in Hong Kong's residential market.

Henderson Land Development (0012): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	25,256	25,741	25,258	27,939	25,575	Cash flow from operating activities	13,358	11,324	13,510	14,413	16,570
COGS	-	-	-	-	-	o/w Depreciation & amortization	487	466	513	564	620
Gross profit	-	-	-	-	-	o/w Changes in working capital	7,732	7,762	6,557	5,784	6,979
SG&A	-	-	-	-	-						
Adj. EBITDA	10,723	6,524	9,042	10,628	11,417	Cash flow from investing activities	(6,953)	(12,843)	(605)	(605)	(605)
D&A	(487)	(466)	(513)	(564)	(620)	o/w Capital expenditure	(2,815)	(3,722)	(1,000)	(1,000)	(1,000)
Adj. EBIT	10,236	6,058	8,529	10,065	10,797	as % of sales	11.1%	14.5%	4.0%	3.6%	3.9%
Net Interest	(1,879)	(2,000)	(2,308)	(2,431)	(2,278)						
Adj. PBT	12,569	7,538	9,806	11,587	13,013	Cash flow from financing activities	(14,175)	720	(11,572)	(11,572)	(11,572)
Tax	(1,222)	(280)	(1,182)	(1,450)	(1,618)	o/w Dividends paid	(8,954)	(9,187)	(6,572)	(6,572)	(6,572)
Minority Interest	(1,573)	(1,195)	(1,091)	(1,034)	(1,093)	o/w Shares issued/(repurchased)	0	7,924	0	0	0
Adj. Net Income	9,774	6,063	7,533	9,103	10,301	o/w Net debt issued/(repaid)	(8,802)	(11,917)	(5,000)	(5,000)	(5,000)
Reported EPS	2.02	1.25	1.56	1.88	2.13	Net change in cash	(7,770)	(799)	1,333	2,236	4,394
Adj. EPS	2.02	1.25	1.56	1.88	2.13						
						Adj. Free cash flow to firm	12,576	9,628	14,539	15,539	17,565
DPS	1.80	1.26	1.26	1.26	1.26	y/y Growth	19.7%	(23.4%)	51.0%	6.9%	13.0%
Payout ratio	89.2%	100.6%	81.0%	67.0%	59.2%						
Shares outstanding	4,841	4,841	4,841	4,841	4,841						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	17,919	22,198	23,531	25,767	30,161	Gross margin	-	-	-	-	-
Accounts receivable	15,097	12,740	12,599	12,433	12,297	EBITDA margin	42.5%	25.3%	35.8%	38.0%	44.6%
Inventories	85,977	80,053	82,880	84,714	86,128	EBIT margin	40.5%	23.5%	33.8%	36.0%	42.2%
Other current assets	0	0	(0)	0	(0)	Net profit margin	38.7%	23.6%	29.8%	32.6%	40.3%
Current assets	118,993	114,991	119,010	122,914	128,585						
PP&E	277,244	283,159	285,659	288,159	290,659	ROE	3.0%	1.9%	2.3%	2.6%	2.9%
LT investments	-	-	-	-	-	ROA	1.8%	1.1%	1.4%	1.6%	1.8%
Other non current assets	135,003	141,231	147,743	153,626	160,126	ROCE	1.9%	1.2%	1.5%	1.8%	1.9%
Total assets	531,240	539,381	552,412	564,699	579,370	SG&A/Sales	-	-	-	-	-
						Net debt/Equity	0.4	0.4	0.4	0.3	0.3
Short term borrowings	17,683	11,354	11,354	11,354	11,354	Net debt/EBITDA	12.5	21.6	14.3	11.0	9.0
Payables	18,757	18,174	19,128	20,132	21,189						
Other short term liabilities	8,054	6,354	14,924	21,704	29,177	Sales/Assets (x)	0.0	0.0	0.0	0.1	0.0
Current liabilities	44,494	35,882	45,406	53,190	61,720	Assets/Equity (x)	1.7	1.7	1.7	1.6	1.6
Long-term debt	134,440	151,681	141,681	131,681	121,681	Interest cover (x)	5.7	3.3	3.9	4.4	5.0
Other long term liabilities	11,729	10,932	10,932	10,932	10,932	Operating leverage	(763.0%)(2125.5%)(2176.3%)			169.6%	(86.0%)
Total liabilities	190,663	198,495	198,019	195,803	194,333	Tax rate	9.7%	3.7%	12.1%	12.5%	12.4%
Shareholders' equity	322,147	322,464	336,443	351,417	368,030	Revenue y/y Growth	(8.4%)	1.9%	(1.9%)	10.6%	(8.5%)
Minority interests	18,430	18,422	17,950	17,478	17,006	EBITDA y/y Growth	58.3%	(39.2%)	38.6%	17.5%	7.4%
Total liabilities & equity	531,240	539,381	552,412	564,699	579,370	EPS y/y Growth	0.7%	(38.0%)	24.2%	20.8%	13.2%
BVPS	66.55	66.61	69.50	72.59	76.02	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	(1.3%)	0.1%	4.3%	4.5%	4.7%	P/E (x)	13.3	21.5	17.3	14.3	12.6
						P/BV (x)	0.4	0.4	0.4	0.4	0.4
RNAV/Share	-	-	61.67	-	-	EV/EBITDA (x)	14.4	23.8	15.1	11.1	8.5
Net debt/(cash)	134,204	140,837	129,504	117,268	102,874	Dividend Yield	6.7%	4.7%	4.7%	4.7%	4.7%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Neutral

0017.HK, 17 HK
Price (15 Jul 26):HK\$6.63
Price Target (Jun-27):HK\$6.80

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}
(852) 2800-8513
karl.chan@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

New World Development (0017)

Liquidity stress remains

We revise our earnings estimates to reflect NWD’s latest DP sales. We roll over our price target to Jun-27 with no change in our price target.

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	56	82	44	15	20
Growth	99	97	97	95	60
Momentum	77	99	100	94	74
Quality	95	91	91	87	65
Low Vol	78	76	77	32	20

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-8.8%	-13.6%	-24.5%	19.5%
Rel	-5.1%	-12.9%	-19.6%	19.1%

Company Data

Shares O/S (mn)	2,517
52-week range (HK\$)	12.45-5.41
Market cap (\$ mn)	2,129
Exchange rate	7.84
Free float (%)	54.4%
3M ADV (mn)	5.99
3M ADV (\$ mn)	6.0
Volatility (90 Day)	40
Index	HSI
BBG ANR (Buy Hold Sell)	1 6 5

Key Metrics (FYE Jun)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	27,681	22,578	20,547	16,543
Adj. EBITDA	7,164	6,993	6,039	4,279
Adj. EBIT	5,919	5,623	4,533	2,621
Adj. net income	(2,002)	(1,365)	(2,177)	(2,477)
Adj. EPS	(0.80)	(0.54)	(0.87)	(0.98)
BBG EPS	(1.75)	(0.43)	0.26	0.31
Cashflow from operations	4,799	(7,219)	(7,386)	(8,578)
FCFF	11,965	(987)	(2,671)	(7,975)
Margins and Growth				
Revenue Growth Y/Y (%)	(22.6%)	(18.4%)	(9.0%)	(19.5%)
EBITDA margin	25.9%	31.0%	29.4%	25.9%
EBITDA Growth Y/Y (%)	(14.0%)	(2.4%)	(13.6%)	(29.2%)
EBIT margin	21.4%	24.9%	22.1%	15.8%
Net margin	(7.2%)	(6.0%)	(10.6%)	(15.0%)
Adj. EPS growth	(62.9%)	(31.8%)	59.5%	13.8%
Ratios				
Adj. tax rate	(18.2%)	51.8%	93.5%	220.9%
Interest cover	1.5	1.9	1.8	1.3
Net debt/Equity	0.7	0.9	0.9	1.0
Net debt/EBITDA	17.5	20.4	25.3	37.7
ROCE	2.1%	0.8%	0.1%	(1.0%)
ROE	(1.2%)	(0.8%)	(1.4%)	(1.6%)
Valuation				
FCFF yield	71.7%	(5.9%)	(16.0%)	(47.8%)
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	5.4	7.4	8.6	11.2
EV/EBITDA	21.0	23.9	29.4	43.4
Adj. P/E	NM	NM	NM	NM

Summary Investment Thesis and Valuation

Investment Thesis

As some of investors' biggest fears (e.g., deferral of coupon payments on perpetuals, liability management exercises) have already happened, we believe most of the negatives are behind us, and the default risk has come down with the successful bank refinancing and liability management exercise. That said, fundamentally, there is still no solid proof of easing in liquidity stress. Thus, we are Neutral, but could turn more positive if NWD exhibits solid proof of easing in liquidity stress.

Valuation

Our price target of HK\$6.8 is based on a target 73% NAV discount. Our target NAV discount is the lowest among all HK property developers as we factor in NWD's continual liquidity stress and higher leverage.

Performance Drivers

Market	31%
Region	13%
Macro	6%
Style	0%
Idiosyn.	50%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.63	0.55
Region: Hong Kong	0.38	0.42
Macro:		
JPM Global Equity Sentiment	-0.14	-0.19
US 10 Year Yield	0.14	-0.17
HSI Volatility Index	0.23	0.13
Quant Styles:		
Growth	-0.25	-0.20
Quality	-0.08	0.18
Value	0.13	0.15

Investment Thesis, Valuation and Risks

New World Development (0017) (Neutral; Price Target: HK\$6.80)

Investment Thesis

As some of investors' biggest fears (e.g., deferral of coupon payments on perpetuals, liability management exercises) have already happened, we believe most of the negatives are behind us, and the default risk has come down with the successful bank refinancing and liability management exercise. That said, fundamentally, there is still no solid proof of easing in liquidity stress. Thus, we are Neutral, but could turn more positive if NWD exhibits solid proof of easing in liquidity stress.

Valuation

Our price target of HK\$6.8 is based on a target 73% NAV discount. Our target NAV discount is the lowest among all HK property developers as we factor in NWD's continual liquidity stress and higher leverage.

New World Development - NAV breakdown

	Jun-27 HK\$MM	HK\$/sh	% of GAV
Hong Kong Development Properties			
Luxury Residential	23,436	9.31	11%
Mass Residential	28,440	11.30	13%
Office/Industrial	359	0.14	0%
	52,235	20.76	25%
Hong Kong Investment Properties			
Luxury Residential	5,755	2.29	3%
Office	22,467	8.93	11%
Retail	49,840	19.80	23%
Industrial and others	1,549	0.62	1%
	79,611	31.63	37%
Agricultural land	14,576	5.79	7%
Hotels	19,913	7.91	9%
Hong Kong Total	166,335	66.09	78%
Mainland China Development Properties			
Residential	19,248	7.65	9%
Mainland China Investment Properties			
Luxury Residential	1,388	0.55	1%
Office	1,823	0.72	1%
Retail	22,631	8.99	11%
Hotel	927	0.37	0%
Mainland China Total	46,017	18.29	22%
Others			
New World Department Store	341	0.14	0%
Others	341	0.14	0%
Gross asset value	212,694	84.52	100%
Net Debt	(122,722)	(48.76)	
Perpetual securities	(27,546)	(10.95)	
Net asset value	62,426	24.81	

Source: Company data, J.P. Morgan estimates.

Note: We apply DCF for property development (assume 10% home price growth in FY26, and 5% p.a. for all subsequent years), and cap rates (ranging from 4% to 9%, depending on project location) for property investment. For listed subsidiaries, we use market value.

Risks to Rating and Price Target

Key upside risks to our rating and price target include: 1) better-than-expected deleveraging process; 2) sooner-than-expected proof of eased liquidity stress; 3) value-accretive asset disposals; and 4) higher-than-expected dividend.

Key downside risks include: 1) worse-than-expected liquidity stress; and 2) a lack of family support.

New World Development (0017): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	35,782	27,681	22,578	20,547	16,543	Cash flow from operating activities	1,466	4,799	(7,219)	(7,386)	(8,578)
COGS	-	-	-	-	-	o/w Depreciation & amortization	1,954	1,245	1,370	1,506	1,657
Gross profit	-	-	-	-	-	o/w Changes in working capital	2,576	8,587	(5,759)	(5,831)	(5,900)
SG&A	-	-	-	-	-						
Adj. EBITDA	8,329	7,164	6,993	6,039	4,279	Cash flow from investing activities	(3,580)	1,586	4,500	4,500	4,500
D&A	(1,954)	(1,245)	(1,370)	(1,506)	(1,657)	o/w Capital expenditure	(6,979)	(3,852)	(5,500)	(5,500)	(5,500)
Adj. EBIT	6,375	5,919	5,623	4,533	2,621	as % of sales	19.5%	13.9%	24.4%	26.8%	33.2%
Net Interest	(4,275)	(4,720)	(3,597)	(3,303)	(3,223)						
Adj. PBT	(4,748)	(13,835)	2,713	1,212	297	Cash flow from financing activities	(22,868)	(8,404)	668	1,465	3,297
Tax	(5,062)	(2,521)	(1,406)	(1,133)	(655)	o/w Dividends paid	(5,869)	(178)	(178)	(178)	(178)
Minority Interest	(1,996)	55	(2,672)	(2,256)	(2,119)	o/w Shares issued/(repurchased)	0	0	0	0	0
Adj. Net Income	(5,397)	(2,002)	(1,365)	(2,177)	(2,477)	o/w Net debt issued/(repaid)	(17,023)	(8,099)	973	1,771	3,602
Reported EPS	(2.14)	(0.80)	(0.54)	(0.87)	(0.98)	Net change in cash	(24,983)	(2,019)	(2,051)	(1,421)	(781)
Adj. EPS	(2.14)	(0.80)	(0.54)	(0.87)	(0.98)						
						Adj. Free cash flow to firm	15,110	11,965	(987)	(2,671)	(7,975)
DPS	0.20	0.00	0.00	0.00	0.00	y/y Growth	(27.2%)	(20.8%)	(108.2%)	170.7%	198.5%
Payout ratio	NM	0.0%	0.0%	0.0%	0.0%						
Shares outstanding	2,517	2,517	2,517	2,517	2,517						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	27,990	25,857	21,854	20,818	20,037	Gross margin	-	-	-	-	-
Accounts receivable	15,276	12,266	11,266	10,266	9,266	EBITDA margin	23.3%	25.9%	31.0%	29.4%	25.9%
Inventories	71,969	66,256	64,825	63,466	62,176	EBIT margin	17.8%	21.4%	24.9%	22.1%	15.8%
Other current assets	1,019	643	643	643	643	Net profit margin	(15.1%)	(7.2%)	(6.0%)	(10.6%)	(15.0%)
Current assets	116,254	105,022	98,587	95,193	92,122						
PP&E	224,780	224,818	224,818	224,818	224,818	ROE	(2.8%)	(1.2%)	(0.8%)	(1.4%)	(1.6%)
LT investments	-	-	-	-	-	ROA	(1.0%)	(0.5%)	(0.3%)	(0.5%)	(0.6%)
Other non current assets	104,124	90,426	99,377	109,799	118,038	ROCE	3.6%	2.1%	0.8%	0.1%	(1.0%)
Total assets	445,158	420,265	422,782	429,810	434,978	SG&A/Sales	-	-	-	-	-
						Net debt/Equity	0.7	0.7	0.9	0.9	1.0
Short term borrowings	42,813	7,650	6,998	7,707	9,147	Net debt/EBITDA	15.5	17.5	20.4	25.3	37.7
Payables	-	-	-	-	-						
Other short term liabilities	50,447	49,996	52,005	54,114	56,329	Sales/Assets (x)	0.1	0.1	0.1	0.0	0.0
Current liabilities	93,260	57,646	59,003	61,821	65,476	Assets/Equity (x)	2.8	2.5	2.6	2.7	2.8
Long-term debt	114,438	143,942	157,683	166,070	172,061	Interest cover (x)	1.9	1.5	1.9	1.8	1.3
Other long term liabilities	48,851	47,118	38,403	38,403	38,403	Operating leverage	75.3%	31.6%	27.1%	215.6%	216.3%
Total liabilities	256,549	248,706	255,089	266,294	275,939	Tax rate	(106.6%)	(18.2%)	51.8%	93.5%	220.9%
Shareholders' equity	179,832	163,716	159,850	155,673	151,196	Revenue y/y Growth	(34.4%)	(22.6%)	(18.4%)	(9.0%)	(19.5%)
Minority interests	8,776	7,843	7,843	7,843	7,843	EBITDA y/y Growth	(28.9%)	(14.0%)	(2.4%)	(13.6%)	(29.2%)
Total liabilities & equity	445,158	420,265	422,782	429,810	434,978	EPS y/y Growth	165.6%	(62.9%)	(31.8%)	59.5%	13.8%
BVPS	71.46	65.05	63.52	61.86	60.08						
y/y Growth	(9.8%)	(9.0%)	(2.4%)	(2.6%)	(2.9%)	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	NM	NM	NM	NM	NM
RNAV/Share	-	-	24.81	-	-	P/BV (x)	0.1	0.1	0.1	0.1	0.1
Net debt/(cash)	129,261	125,735	142,827	152,959	161,171	EV/EBITDA (x)	18.6	21.0	23.9	29.4	43.4
						Dividend Yield	3.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

Overweight

0083.HK, 83 HK
Price (15 Jul 26):HK\$10.65
Price Target (Jun-27):HK\$12.50

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}
(852) 2800-8513
karl.chan@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Style Exposure

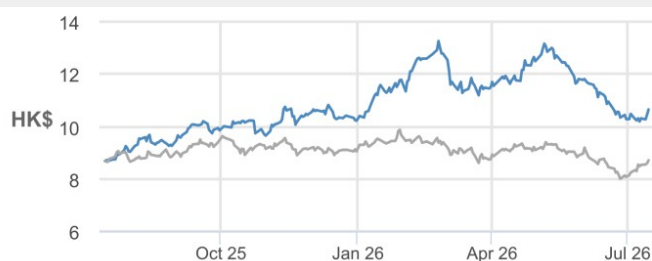
Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	86	74	66	53	31
Growth	69	65	69	83	91
Momentum	40	77	65	51	80
Quality	37	64	66	85	81
Low Vol	7	6	5	15	15
ESGQ	6	28	17	3	21

Sino Land (0083)

Dividend certainty overshadows earnings volatility

We revise our earnings estimates to reflect the latest DP sales and ASP. We roll over our price target to Jun-27 with no change in our price target.

Price Performance



	YTD	1m	3m	12m
Abs	4.2%	-4.9%	-9.9%	22.7%
Rel	7.9%	-4.3%	-5.0%	22.3%

Company Data

Shares O/S (mn)	9,586
52-week range (HK\$)	13.30-8.60
Market cap (\$ mn)	13,026
Exchange rate	7.84
Free float (%)	40.2%
3M ADV (mn)	9.00
3M ADV (\$ mn)	13.3
Volatility (90 Day)	26
Index	HSI
BBG ANR (Buy Hold Sell)	10 2 0

Key Metrics (FYE Jun)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	8,183	9,208	10,901	9,283
Adj. EBITDA	2,809	3,267	2,670	2,747
Adj. EBIT	2,651	3,093	2,479	2,537
Adj. net income	5,109	4,702	4,432	5,318
Adj. EPS	0.57	0.51	0.47	0.56
BBG EPS	0.57	0.51	0.52	0.55
Cashflow from operations	6,288	3,172	5,111	5,610
FCFF	5,264	2,672	4,611	5,110
Margins and Growth				
Revenue Growth Y/Y (%)	(6.6%)	12.5%	18.4%	(14.8%)
EBITDA margin	34.3%	35.5%	24.5%	29.6%
EBITDA Growth Y/Y (%)	18.5%	16.3%	(18.3%)	2.9%
EBIT margin	32.4%	33.6%	22.7%	27.3%
Net margin	62.4%	51.1%	40.7%	57.3%
Adj. EPS growth	(6.7%)	(11.2%)	(8.5%)	20.0%
Ratios				
Adj. tax rate	8.1%	13.0%	13.0%	13.0%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	1.4%	1.6%	1.2%	1.3%
ROE	3.0%	2.8%	2.6%	3.1%
Valuation				
FCFF yield	5.6%	2.7%	4.6%	5.1%
Dividend yield	5.4%	5.4%	5.4%	5.4%
EV/Revenue	1.9	2.0	1.8	2.3
EV/EBITDA	5.6	5.5	7.2	7.7
Adj. P/E	18.5	20.8	22.8	19.0

Summary Investment Thesis and Valuation

Investment Thesis

We are Overweight on Sino Land, because: 1) it has the highest dividend visibility (at least flat) among key developers, per our estimates; 2) with net cash, it is the best equipped to expand land bank; and 3) dividend yield is one of the highest in the sector.

Valuation

Our Jun-27 PT of HK\$12.5 is based on a 31% discount (0.5 s.d. above historical average) to our NAV estimates, which is narrower than peers to factor in Sino Land's net cash position.

Performance Drivers

Market	27%
Region	7%
Macro	8%
Style	7%
Idiosyn.	51%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.64	0.52
Region: Hong Kong	0.33	0.32

Macro:

JPM Forecast Revision EM	-0.10	-0.29
JP Morgan GBI-EM Global Div	0.02	0.16
Emerging Central Bank Rate	0.12	0.13

Quant Styles:

Growth	-0.13	-0.32
Size	-0.18	-0.30
DivYld	0.05	0.28

Investment Thesis, Valuation and Risks

Sino Land (0083) (Overweight; Price Target: HK\$12.50)

Investment Thesis

We are Overweight on Sino Land, because: 1) it has the highest dividend visibility (at least flat) among key developers, per our estimates; 2) with net cash, it is the best equipped to expand land bank; and 3) dividend yield is one of the highest in the sector.

Valuation

Our Jun-27 PT of HK\$12.5 is based on a 31% discount (0.5 s.d. above historical average) to our NAV estimates, which is narrower than peers to factor in Sino Land's net cash position.

	Jun-27 HK\$MM	HK\$/sh	% of GAV
Hong Kong properties			
Property under development			
Lux Residential	9,910	1.0	8.2%
Mass Residential	24,290	2.5	20.0%
	34,200	3.6	28.2%
Property investment			
Lux Residential	5,052	0.5	4.2%
Office	15,170	1.6	12.5%
Retail	30,982	3.2	25.5%
Industrial	5,669	0.6	4.7%
Car Park	1,043	0.1	0.9%
	57,916	6.0	47.7%
Hotel	6,548	0.7	5.4%
HK Properties total	98,664	10.3	81.2%
Mainland China properties			
Development properties	1,900	0.2	1.6%
Property investment	5,589	0.6	4.6%
Mainland China properties total	7,489	0.8	6.2%
Singapore / Australia properties			
Development properties	1,583	0.2	1.3%
Investment properties	3,616	0.4	3.0%
Hotel	4,922	0.5	4.1%
Singapore / Australia properties total	10,121	1.1	8.3%
Listed investment	1,578	0.2	1.3%
Loans receivables	3,619	0.4	3.0%
	5,197	0.5	4.3%
Gross Asset Value	121,471	12.7	100%
Net Cash / (Debt)	51,402		
NAV	172,873		
Number of shares (MM)	9,586		
NAV per share	18.0		

Source: J.P. Morgan estimates.

Note: We apply DCF for property development (assume 10% home price growth in FY26/7, and 5% p.a. for all subsequent years), and cap rates (ranging from 3% to 9%, depending on project location) for property investment.

Risks to Rating and Price Target

Upside risks: 1) higher-than-expected dividend; and 2) value-accretive acquisitions.
Downside risks: 1) lower-than-expected dividend; and 2) value-dilutive acquisitions.

Sino Land (0083): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	8,765	8,183	9,208	10,901	9,283	Cash flow from operating activities	3,666	6,288	3,172	5,111	5,610
COGS	-	-	-	-	-	o/w Depreciation & amortization	160	158	174	191	210
Gross profit	-	-	-	-	-	o/w Changes in working capital	(1,160)	1,051	(2,705)	(547)	(1,094)
SG&A	-	-	-	-	-	Cash flow from investing activities	(9,430)	4,684	(700)	(1,000)	(1,000)
Adj. EBITDA	2,372	2,809	3,267	2,670	2,747	o/w Capital expenditure	(531)	(1,024)	(500)	(500)	(500)
D&A	(160)	(158)	(174)	(191)	(210)	as % of sales	6.1%	12.5%	5.4%	4.6%	5.4%
Adj. EBIT	2,212	2,651	3,093	2,479	2,537	Cash flow from financing activities	(1,346)	(791)	(1,292)	(1,328)	(1,328)
Net Interest	2,340	2,258	1,867	1,830	1,820	o/w Dividends paid	(1,027)	(1,157)	(1,192)	(1,228)	(1,228)
Adj. PBT	5,532	5,358	5,478	5,169	6,300	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(509)	(433)	(712)	(672)	(819)	o/w Net debt issued/(repaid)	(1,132)	967	(100)	(100)	(100)
Minority Interest	156	184	(64)	(64)	(163)	Net change in cash	(7,110)	10,181	1,180	2,783	3,281
Adj. Net Income	5,179	5,109	4,702	4,432	5,318	Adj. Free cash flow to firm	3,135	5,264	2,672	4,611	5,110
Reported EPS	0.62	0.57	0.51	0.47	0.56	y/y Growth	128.7%	67.9%	(49.2%)	72.6%	10.8%
Adj. EPS	0.62	0.57	0.51	0.47	0.56						
DPS	0.58	0.58	0.58	0.58	0.58						
Payout ratio	94.1%	100.9%	113.5%	124.1%	103.4%						
Shares outstanding	8,402	8,887	9,205	9,484	9,484						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	46,417	51,260	52,440	55,223	58,504	Gross margin	-	-	-	-	-
Accounts receivable	2,236	1,916	1,916	1,916	1,916	EBITDA margin	27.1%	34.3%	35.5%	24.5%	29.6%
Inventories	15,810	14,588	14,793	12,840	11,434	EBIT margin	25.2%	32.4%	33.6%	22.7%	27.3%
Other current assets	5,972	5,231	5,231	5,231	5,231	Net profit margin	59.1%	62.4%	51.1%	40.7%	57.3%
Current assets	70,435	72,995	74,380	75,210	77,085	ROE	3.2%	3.0%	2.8%	2.6%	3.1%
PP&E	69,193	69,128	72,468	75,986	79,694	ROA	2.9%	2.8%	2.6%	2.4%	2.9%
LT investments	-	-	-	-	-	ROCE	1.2%	1.4%	1.6%	1.2%	1.3%
Other non current assets	40,716	41,490	37,336	33,020	27,307	SG&A/Sales	-	-	-	-	-
Total assets	180,344	183,613	184,183	184,216	184,085	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	0	1,799	899	899	899	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	4,391	4,098	4,098	4,098	4,098	Sales/Assets (x)	0.0	0.0	0.1	0.1	0.1
Other short term liabilities	3,427	3,855	3,526	3,526	3,526	Assets/Equity (x)	1.1	1.1	1.1	1.1	1.1
Current liabilities	7,818	9,752	8,523	8,523	8,523	Interest cover (x)	-	-	-	-	-
Long-term debt	832	0	800	700	600	Operating leverage	186.8%	(299.5%)	133.0%	(108.0%)	(15.8%)
Other long term liabilities	5,378	3,964	2,783	2,779	2,775	Tax rate	9.2%	8.1%	13.0%	13.0%	13.0%
Total liabilities	14,028	13,716	12,106	12,002	11,898	Revenue y/y Growth	(26.2%)	(6.6%)	12.5%	18.4%	(14.8%)
Shareholders' equity	165,790	169,397	171,577	171,714	171,688	EBITDA y/y Growth	(47.7%)	18.5%	16.3%	(18.3%)	2.9%
Minority interests	526	500	500	500	500	EPS y/y Growth	(21.0%)	(6.7%)	(11.2%)	(8.5%)	20.0%
Total liabilities & equity	180,344	183,613	184,183	184,216	184,085	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
BVPS	19.49	18.82	18.38	18.40	18.39	P/E (x)	17.3	18.5	20.8	22.8	19.0
y/y Growth	(3.5%)	(3.4%)	(2.3%)	0.1%	(0.0%)	P/BV (x)	0.5	0.6	0.6	0.6	0.6
RNAV/Share	-	-	18.03	-	-	EV/EBITDA (x)	8.7	5.6	5.5	7.2	7.7
Net debt/(cash)	(45,585)	(49,461)	(50,741)	(53,624)	(57,005)	Dividend Yield	5.4%	5.4%	5.4%	5.4%	5.4%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

Overweight

0016.HK, 16 HK

Price (15 Jul 26):HK\$122.30

Price Target (Jun-27):HK\$140.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}

(852) 2800-8513

karl.chan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Sun Hung Kai Properties (0016)

Best proxy for the Hong Kong residential market

We update our earnings estimates to reflect the latest residential sales and a higher margin assumption. We roll over our price target to Jun-27 with no change to our price target.

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	20	12	12	19	12
Growth	41	58	35	87	27
Momentum	16	74	68	53	73
Quality	20	26	28	81	12
Low Vol	22	19	15	6	11
ESGQ	13	19	20	88	20

Price Performance



	YTD	1m	3m	12m
Abs	29.1%	2.3%	-11.0%	35.1%
Rel	32.8%	2.9%	-6.2%	34.7%

Company Data

Shares O/S (mn)	2,898
52-week range (HK\$)	148.80-88.90
Market cap (\$ mn)	45,217
Exchange rate	7.84
Free float (%)	34.2%
3M ADV (mn)	5.77
3M ADV (\$ mn)	92.5
Volatility (90 Day)	34
Index	HSI
BBG ANR (Buy Hold Sell)	13 3 0

Key Metrics (FYE Jun)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	79,721	87,295	75,482	76,808
Adj. EBITDA	32,971	33,340	32,943	35,114
Adj. EBIT	27,914	28,283	27,886	30,057
Adj. net income	21,855	23,013	24,301	26,096
Adj. EPS	7.54	7.94	8.39	9.01
BBG EPS	7.69	7.90	8.63	9.04
Cashflow from operations	46,316	40,148	26,174	28,220
FCFF	33,854	35,510	17,428	19,495
Margins and Growth				
Revenue Growth Y/Y (%)	11.5%	9.5%	(13.5%)	1.8%
EBITDA margin	41.4%	38.2%	43.6%	45.7%
EBITDA Growth Y/Y (%)	3.6%	1.1%	(1.2%)	6.6%
EBIT margin	35.0%	32.4%	36.9%	39.1%
Net margin	27.4%	26.4%	32.2%	34.0%
Adj. EPS growth	0.5%	5.3%	5.6%	7.4%
Ratios				
Adj. tax rate	19.9%	21.6%	17.2%	17.2%
Interest cover	13.3	19.2	21.8	22.8
Net debt/Equity	0.1	0.1	0.1	0.1
Net debt/EBITDA	2.8	2.5	2.4	2.1
ROCE	3.1%	3.1%	3.1%	3.3%
ROE	3.6%	3.7%	3.9%	4.0%
Valuation				
FCFF yield	9.6%	10.0%	4.9%	5.5%
Dividend yield	3.1%	3.2%	3.4%	3.7%
EV/Revenue	4.4	3.8	4.2	4.0
EV/EBITDA	10.5	9.9	9.7	8.8
Adj. P/E	16.2	15.4	14.6	13.6

Summary Investment Thesis and Valuation

Investment Thesis

SHKP is the best proxy for the Hong Kong housing market, and we believe the bullish view on the HK housing market will continue to drive flows into SHKP. Fundamentally, SHKP's earnings growth is also likely on track to be revived to MSD% growth. As the upcycle is confirmed for the HK housing market, we believe SHKP warrants a valuation premium and we are thus Overweight.

Valuation

Our Jun-27 PT of HK\$140 is based on a 33% discount to NAV (0.25 s.d. below the historical average), which is narrower than peers to take into account SHKP's lower leverage, ample land bank & earnings resilience.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.59	0.52
Region: Hong Kong	0.72	0.66
Macro:		
Citi Economic Surprise - EM	0.30	0.21
JP Morgan EMBI Global Spread	0.18	0.20
Generic 1st 'CO' Future	0.09	0.18
Quant Styles:		
Growth	-0.18	-0.22
LowVol	0.06	0.19
DivYld	0.07	0.16

Investment Thesis, Valuation and Risks

Sun Hung Kai Properties (0016) *(Overweight; Price Target: HK\$140.00)*

Investment Thesis

SHKP is the best proxy for the Hong Kong housing market, and we believe the bullish view on the HK housing market will continue to drive flows into SHKP. Fundamentally, SHKP's earnings growth is also likely on track to be revived to MSD% growth. As the upcycle is confirmed for the HK housing market, we believe SHKP warrants a valuation premium and we are thus Overweight.

Valuation

Our Jun-27 PT of HK\$140 is based on a 33% discount to NAV (0.25 s.d. below the historical average), which is narrower than peers to take into account SHKP's lower leverage, ample land bank & earnings resilience.

	Jun-27	HK\$/sh	% of GAV
Hong Kong properties			
Agricultural Land	26,000	9.0	3.8%
Property under development			
Lux Residential	37,499	12.9	5.5%
Mass Residential	75,436	26.0	11.0%
	112,934	39.0	16.4%
Property investment			
Lux Residential	29,429	10.2	4.3%
Office	75,100	25.9	10.9%
Retail	195,469	67.5	28.4%
Industrial	9,145	3.2	1.3%
Office under development	17,438	6.0	2.5%
Retail under development	14,085	4.9	2.0%
Car Park	7,068	2.4	1.0%
	347,735	120.0	50.6%
Hotel	22,884	7.9	3.3%
HK Properties total	509,552	175.8	74%
Mainland China properties			
Development property	17,397	6.0	2.5%
Property investment			
Lux Residential	4,282	1.5	0.6%
Office	49,666	17.1	7.2%
Retail	60,157	20.8	8.8%
	114,104	39.4	16.6%
Hotel	4,740	1.6	0.7%
Mainland China properties total	136,241	47.0	20%
Singapore properties			
ION Orchard (Retail)	7,104	2.5	1.0%
Singapore properties total	7,104	2.5	1.0%
Listed investments			
Listed investment total	17,963	6.2	2.6%
Other business (5x P/E blended)	16,362	5.6	2.4%
Gross Asset Value	687,222	237.2	100%
Net Debt	(83,646)	(28.9)	
Associated Debt	(2,335)	(0.8)	
NAV	601,241	207	
Number of shares (MM)	2,898		
NAV per share	207		

Source: Company data, J.P. Morgan estimates.

Note: We apply DCF for property development (assume 10% home price growth in FY26, and 5% p.a. for all subsequent years), and cap rates (ranging from 3% to 9%, depending on project location) for property investment. For listed subsidiaries, we refer to their market cap.

Risks to Rating and Price Target

Upside risks: (1) stronger-than-expected property sales and rental income; (2) recovery in Hong Kong's home prices; (3) higher-than-expected dividend payout.

Downside risks: (1) weaker-than-expected deterioration in the Hong Kong residential market and home prices; (2) worse-than-expected dividend.

Sun Hung Kai Properties (0016): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	71,506	79,721	87,295	75,482	76,808	Cash flow from operating activities	44,315	46,316	40,148	26,174	28,220
COGS	-	-	-	-	-	o/w Depreciation & amortization	4,805	5,057	5,057	5,057	5,057
Gross profit	-	-	-	-	-	o/w Changes in working capital	22,058	21,846	15,200	(300)	0
SG&A	-	-	-	-	-	Cash flow from investing activities	(29,412)	(15,888)	(7,000)	(11,000)	(11,000)
Adj. EBITDA	31,838	32,971	33,340	32,943	35,114	o/w Capital expenditure	(30,021)	(17,656)	(8,000)	(10,000)	(10,000)
D&A	(4,805)	(5,057)	(5,057)	(5,057)	(5,057)	as % of sales	42.0%	22.1%	9.2%	13.2%	13.0%
Adj. EBIT	27,033	27,914	28,283	27,886	30,057	Cash flow from financing activities	(13,109)	(29,796)	(26,446)	(12,150)	(13,048)
Net Interest	(3,567)	(2,485)	(1,738)	(1,513)	(1,539)	o/w Dividends paid	(14,170)	(11,346)	(11,446)	(12,150)	(13,048)
Adj. PBT	26,652	28,060	30,131	29,981	32,160	o/w Shares issued/(repurchased)	(17)	(5)	0	0	0
Tax	(4,331)	(5,582)	(6,520)	(5,143)	(5,530)	o/w Net debt issued/(repaid)	2,118	(17,588)	(15,000)	0	0
Minority Interest	(582)	(623)	(598)	(537)	(535)	Net change in cash	1,794	632	6,702	3,024	4,172
Adj. Net Income	21,739	21,855	23,013	24,301	26,096	Adj. Free cash flow to firm	18,041	33,854	35,510	17,428	19,495
Reported EPS	7.50	7.54	7.94	8.39	9.01	y/y Growth	43.8%	87.6%	4.9%	(50.9%)	11.9%
Adj. EPS	7.50	7.54	7.94	8.39	9.01						
DPS	3.75	3.75	3.95	4.19	4.50						
Payout ratio	50.0%	49.7%	49.7%	50.0%	50.0%						
Shares outstanding	2,898	2,898	2,898	2,898	2,898						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	16,221	16,919	23,621	26,645	30,818	Gross margin	-	-	-	-	-
Accounts receivable	17,617	20,477	20,477	20,477	20,477	EBITDA margin	44.5%	41.4%	38.2%	43.6%	45.7%
Inventories	214,077	197,452	177,452	177,452	177,452	EBIT margin	37.8%	35.0%	32.4%	36.9%	39.1%
Other current assets	748	864	747	747	747	Net profit margin	30.4%	27.4%	26.4%	32.2%	34.0%
Current assets	248,663	235,712	222,297	225,321	229,494	ROE	3.6%	3.6%	3.7%	3.9%	4.0%
PP&E	462,952	471,573	479,573	489,573	499,573	ROA	2.7%	2.7%	2.8%	2.9%	3.1%
LT investments	-	-	-	-	-	ROCE	3.1%	3.1%	3.1%	3.1%	3.3%
Other non current assets	106,479	109,608	115,942	122,563	129,486	SG&A/Sales	-	-	-	-	-
Total assets	818,094	816,893	817,812	837,458	858,552	Net debt/Equity	0.2	0.1	0.1	0.1	0.1
Short term borrowings	10,498	14,384	15,384	14,384	13,384	Net debt/EBITDA	3.5	2.8	2.5	2.4	2.1
Payables	43,638	46,712	41,912	41,612	41,312	Sales/Assets (x)	0.1	0.1	0.1	0.1	0.1
Other short term liabilities	7,876	8,996	17,602	18,148	18,824	Assets/Equity (x)	1.3	1.3	1.3	1.3	1.3
Current liabilities	62,012	70,092	74,898	74,144	73,520	Interest cover (x)	8.9	13.3	19.2	21.8	22.8
Long-term debt	116,589	95,833	89,920	89,920	89,920	Operating leverage	(586.7%)	28.4%	13.9%	10.4%	443.1%
Other long term liabilities	28,422	28,594	28,594	28,594	28,594	Tax rate	16.3%	19.9%	21.6%	17.2%	17.2%
Total liabilities	207,023	194,519	193,412	192,658	192,034	Revenue y/y Growth	0.4%	11.5%	9.5%	(13.5%)	1.8%
Shareholders' equity	606,717	617,851	619,877	640,277	661,995	EBITDA y/y Growth	(2.1%)	3.6%	1.1%	(1.2%)	6.6%
Minority interests	4,354	4,523	4,523	4,523	4,523	EPS y/y Growth	(9.0%)	0.5%	5.3%	5.6%	7.4%
Total liabilities & equity	818,094	816,893	817,812	837,458	858,552						
BVPS	209.37	213.22	213.91	220.95	228.45	Valuation					
y/y Growth	0.8%	1.8%	0.3%	3.3%	3.4%		FY24A	FY25A	FY26E	FY27E	FY28E
RNAV/Share	-	-	-	207.48	-	P/E (x)	16.3	16.2	15.4	14.6	13.6
Net debt/(cash)	110,866	93,298	81,683	77,659	72,486	P/BV (x)	0.6	0.6	0.6	0.6	0.5
						EV/EBITDA (x)	11.6	10.5	9.9	9.7	8.8
						Dividend Yield	3.1%	3.1%	3.2%	3.4%	3.7%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

Overweight

0101.HK, 101 HK
 Price (15 Jul 26):HK\$7.38
 Price Target (Jun-27):HK\$12.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}
 (852) 2800-8513
 karl.chan@jpmorgan.com
 J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
 Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	45	42	34	41	69
Growth	79	63	77	75	77
Momentum	58	32	71	69	85
Quality	58	71	79	68	69
Low Vol	33	45	56	29	21

Hang Lung Properties (0101)

Likely continual growth in operating profit

We roll over our price target to Jun-27. We update our earnings estimates to reflect the latest share count. There is no change to our price target.

Price Performance



	YTD	1m	3m	12m
Abs	-14.3%	-4.8%	-21.7%	-1.5%
Rel	-10.6%	-4.1%	-16.8%	-1.8%

Company Data

Shares O/S (mn)	5,203
52-week range (HK\$)	10.30-6.85
Market cap (\$ mn)	4,899
Exchange rate	7.84
Free float (%)	38.2%
3M ADV (mn)	8.91
3M ADV (\$ mn)	9.3
Volatility (90 Day)	29
Index	HSI
BBG ANR (Buy Hold Sell)	11 2 0

Key Metrics (FYE Dec)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	9,950	11,632	11,096	11,310
Adj. EBITDA	6,079	6,240	6,599	6,731
Adj. EBIT	5,929	6,240	6,599	6,731
Adj. net income	3,202	3,186	3,409	3,485
Adj. EPS	0.65	0.63	0.65	0.67
BBG EPS	0.63	0.63	0.66	0.72
Cashflow from operations	3,663	3,452	3,513	3,547
FCFF	2,134	1,369	1,941	2,600
Margins and Growth				
Revenue Growth Y/Y (%)	(11.5%)	16.9%	(4.6%)	1.9%
EBITDA margin	61.1%	53.6%	59.5%	59.5%
EBITDA Growth Y/Y (%)	2.0%	2.6%	5.8%	2.0%
EBIT margin	59.6%	53.6%	59.5%	59.5%
Net margin	32.2%	27.4%	30.7%	30.8%
Adj. EPS growth	(2.4%)	(3.3%)	4.0%	2.2%
Ratios				
Adj. tax rate	26.2%	24.8%	24.8%	24.8%
Interest cover	6.6	4.6	4.8	4.8
Net debt/Equity	0.3	0.3	0.3	0.3
Net debt/EBITDA	7.8	7.5	7.0	6.7
ROCE	2.3%	2.5%	2.6%	2.6%
ROE	2.4%	2.3%	2.4%	2.5%
Valuation				
FCFF yield	5.9%	3.7%	5.1%	6.8%
Dividend yield	7.0%	7.0%	7.0%	0.0%
EV/Revenue	9.6	8.6	9.5	9.7
EV/EBITDA	15.7	16.1	15.9	16.3
Adj. P/E	11.3	11.7	11.3	11.0

Summary Investment Thesis and Valuation

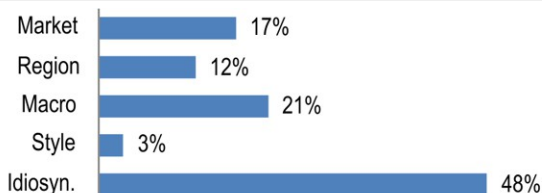
Investment Thesis

We like Hang Lung Properties due to (1) confirmation of a recovery in Mainland China tenant sales (Mainland China retail is ~60% of rental income); (2) high dividend visibility with upside risk starting in FY27E; (3) capex cycle having peaked with likely further deleveraging; (4) likely continual growth in operating profit with contribution from Hangzhou Westlake 66; (5) V.3 strategy as a low-risk way to expand recurring income streams. We believe HLP is under-appreciated by the market with its strong growth in non-luxury tenant sales.

Valuation

Our Jun-27 PT of HK\$12 is based on a 55% discount to our NAV, which is 0.5 S.D. below the historical average, as we see signs of stabilization (but not yet a strong recovery) in Mainland China retail performance.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: Hong Kong	0.60	0.41
Macro:		
US 10 Year Yield	-0.24	-0.42
JP Morgan GBI-EM Global Div	0.24	0.24
JPM China A-shares Sentiment	-0.20	0.17
Quant Styles:		
Growth	-0.13	-0.26
Size	-0.26	-0.19
Value	-0.12	0.16

Investment Thesis, Valuation and Risks

Hang Lung Properties (0101) (Overweight; Price Target: HK\$12.00)

Investment Thesis

We like Hang Lung Properties due to (1) confirmation of a recovery in Mainland China tenant sales (Mainland China retail is ~60% of rental income); (2) high dividend visibility with upside risk starting in FY27E; (3) capex cycle having peaked with likely further deleveraging; (4) likely continual growth in operating profit with contribution from Hangzhou Westlake 66; (5) V.3 strategy as a low-risk way to expand recurring income streams. We believe HLP is under-appreciated by the market with its strong growth in non-luxury tenant sales.

Valuation

Our Jun-27 PT of HK\$12 is based on a 55% discount to our NAV, which is 0.5 S.D. below the historical average, as we see signs of stabilization (but not yet a strong recovery) in Mainland China retail performance.

	Fwd NAV		
	Jun-27 HK\$MM	HK\$/sh	% of GAV
Hong Kong Development Properties			
Hong Kong Development Properties	5,514	1.1	3%
Hong Kong Investment Properties			
Luxury residential	6,483	1.2	3%
Retail	26,872	5.2	14%
Office	11,300	2.2	6%
Car parks	2,760	0.5	1%
	47,416	9.1	25%
Mainland China Investment Properties			
Completed Mainland China projects	110,608	21.3	59%
Projects under construction	23,703	4.6	13%
	134,311	25.8	72%
Total gross assets	187,240	36.0	100%
Net debt as at Dec-25	(47,254)	(9.1)	
Total net assets	139,986	26.9	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Key upside risks: (1) better-than-expected recovery of Mainland China luxury retail sales; (2) higher-than-expected dividend.

Key downside risks: (1) worse-than-expected deterioration of Mainland China luxury retail sales; (2) worse-than-expected dividend.

Hang Lung Properties (0101): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	11,242	9,950	11,632	11,096	11,310	Cash flow from operating activities	3,078	3,663	3,452	3,513	3,547
COGS	-	-	-	-	-	o/w Depreciation & amortization	117	150	0	0	0
Gross profit	-	-	-	-	-	o/w Changes in working capital	25	587	162	(79)	(181)
SG&A	-	-	-	-	-						
Adj. EBITDA	5,957	6,079	6,240	6,599	6,731	Cash flow from investing activities	(3,253)	(2,485)	(600)	(100)	500
D&A	(117)	(150)	0	0	0	o/w Capital expenditure	(3,252)	(2,356)	(3,100)	(2,600)	(2,000)
Adj. EBIT	5,840	5,929	6,240	6,599	6,731	as % of sales	28.9%	23.7%	26.6%	23.4%	17.7%
Net Interest	(884)	(920)	(1,353)	(1,368)	(1,400)						
Adj. PBT	4,993	5,043	4,923	5,268	5,382	Cash flow from financing activities	5,214	(5,867)	(3,129)	(3,206)	(3,206)
Tax	(1,368)	(1,323)	(1,222)	(1,308)	(1,333)	o/w Dividends paid	(1,708)	(1,227)	(2,629)	(2,706)	(2,706)
Minority Interest	(530)	(518)	(515)	(551)	(564)	o/w Shares issued/(repurchased)	0	0	0	0	0
Adj. Net Income	3,095	3,202	3,186	3,409	3,485	o/w Net debt issued/(repaid)	6,952	(4,614)	(500)	(500)	(500)
Reported EPS	0.67	0.65	0.63	0.65	0.67	Net change in cash	5,039	(4,689)	(278)	207	841
Adj. EPS	0.67	0.65	0.63	0.65	0.67						
						Adj. Free cash flow to firm	491	2,134	1,369	1,941	2,600
DPS	0.52	0.52	0.52	0.52	0.00	y/y Growth	(168.9%)	334.7%	(35.8%)	41.8%	34.0%
Payout ratio	77.9%	79.9%	82.6%	79.4%	0.0%						
Shares outstanding	4,638	4,919	5,060	5,206	5,206						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	10,303	6,335	6,057	6,264	7,106	Gross margin	-	-	-	-	-
Accounts receivable	3,183	2,692	2,557	2,430	2,430	EBITDA margin	53.0%	61.1%	53.6%	59.5%	59.5%
Inventories	13,489	14,272	14,754	15,497	16,239	EBIT margin	51.9%	59.6%	53.6%	59.5%	59.5%
Other current assets	0	0	0	(0)	1	Net profit margin	27.5%	32.2%	27.4%	30.7%	30.8%
Current assets	26,975	23,299	23,369	24,191	25,776						
PP&E	193,353	198,311	206,818	214,659	222,567	ROE	2.3%	2.4%	2.3%	2.4%	2.5%
LT investments	1,320	1,302	1,324	1,345	1,368	ROA	1.4%	1.4%	1.4%	1.4%	1.4%
Other non current assets	1,320	1,302	1,324	1,345	1,368	ROCE	2.3%	2.3%	2.5%	2.6%	2.6%
Total assets	221,648	222,912	231,511	240,195	249,710	SG&A/Sales	-	-	-	-	-
						Net debt/Equity	0.3	0.3	0.3	0.3	0.3
Short term borrowings	9,340	4,913	4,913	4,913	4,913	Net debt/EBITDA	7.9	7.8	7.5	7.0	6.7
Payables	9,314	10,193	10,703	11,238	11,800						
Other short term liabilities	294	318	318	318	318	Sales/Assets (x)	0.1	0.0	0.1	0.0	0.0
Current liabilities	18,948	15,424	15,934	16,469	17,031	Assets/Equity (x)	1.7	1.7	1.7	1.7	1.7
Long-term debt	48,036	48,676	48,176	47,676	47,176	Interest cover (x)	6.7	6.6	4.6	4.8	4.8
Other long term liabilities	13,614	14,346	14,822	15,169	15,527	Operating leverage	(151.9%)	(13.3%)	31.0%	(124.8%)	103.5%
Total liabilities	80,598	78,446	78,931	79,314	79,734	Tax rate	27.4%	26.2%	24.8%	24.8%	24.8%
Shareholders' equity	131,587	134,729	137,825	140,515	143,340	Revenue y/y Growth	9.0%	(11.5%)	16.9%	(4.6%)	1.9%
Minority interests	9,463	9,737	14,754	20,366	26,635	EBITDA y/y Growth	(13.0%)	2.0%	2.6%	5.8%	2.0%
Total liabilities & equity	221,648	222,912	231,511	240,195	249,709	EPS y/y Growth	(27.4%)	(2.4%)	(3.3%)	4.0%	2.2%
BVPS	27.51	26.64	26.49	27.01	27.55						
y/y Growth	(6.6%)	(3.1%)	(0.6%)	2.0%	2.0%	Valuation					
							FY24A	FY25A	FY26E	FY27E	FY28E
RNAV/Share	-	-	26.90	-	-	P/E (x)	11.1	11.3	11.7	11.3	11.0
Net debt/(cash)	47,073	47,254	47,032	46,325	44,983	P/BV (x)	0.3	0.3	0.3	0.3	0.3
						EV/EBITDA (x)	15.9	15.7	16.1	15.9	16.3
						Dividend Yield	7.0%	7.0%	7.0%	7.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

HKLD.SI, HKL SP
 Price (15 Jul 26):\$7.40
 Price Target (Jun-27):\$10.70

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}
 (852) 2800-8513
 karl.chan@jpmorgan.com
 J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
 Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	95	40	37	13	1
Growth	100	98	100	76	98
Momentum	40	13	40	92	22
Quality	88	88	95	34	55
Low Vol	92	92	88	85	25
ESGQ	100	20	27	11	97

Hongkong Land

Scarcity value of long-term dividend certainty

We revise our earnings estimates to reflect a lower finance cost assumption and a narrower negative rental reversion in the HK office portfolio. We roll over our price target to Jun-27 with no change in our price target.

Price Performance



— HKLD.SI Price (\$) — FTSTI (rebased)

	YTD	1m	3m	12m
Abs	6.5%	-0.5%	-8.3%	17.8%
Rel	-13.2%	-10.0%	-19.0%	-17.1%

Company Data

Shares O/S (mn)	2,135
52-week range (\$)	9.12-5.78
Market cap (\$ mn)	15,802
Exchange rate	1.00
Free float (%)	44.9%
3M ADV (mn)	2.77
3M ADV (\$ mn)	21.2
Volatility (90 Day)	36
Index	FTSTI
BBG ANR (Buy Hold Sell)	5/7/1

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	1,059	1,027	1,031	1,075
Adj. EBITDA	635	629	631	661
Adj. EBIT	621	615	617	646
Adj. net income	458	508	550	594
Adj. EPS	0.21	0.24	0.26	0.28
BBG EPS	0.32	0.34	0.42	-
Cashflow from operations	584	1,128	902	933
FCFF	939	4,443	499	533
Margins and Growth				
Revenue Growth Y/Y (%)	(3.8%)	(3.0%)	0.3%	4.3%
EBITDA margin	60.0%	61.3%	61.3%	61.5%
EBITDA Growth Y/Y (%)	(10.1%)	(0.9%)	0.3%	4.6%
EBIT margin	58.7%	59.9%	59.9%	60.2%
Net margin	43.3%	49.5%	53.4%	55.3%
Adj. EPS growth	(7.1%)	12.8%	8.8%	8.0%
Ratios				
Adj. tax rate	12.1%	11.6%	11.7%	11.8%
Interest cover	3.7	4.8	5.7	5.8
Net debt/Equity	0.1	0.1	0.1	0.1
Net debt/EBITDA	5.6	2.6	2.9	3.0
ROCE	1.5%	1.5%	1.6%	1.6%
ROE	1.5%	1.7%	1.8%	2.0%
Valuation				
FCFF yield	5.8%	28.0%	3.2%	3.4%
Dividend yield	3.4%	3.5%	3.7%	3.9%
EV/Revenue	18.3	17.0	17.1	16.6
EV/EBITDA	30.6	27.7	28.0	27.0
Adj. P/E	35.3	31.3	28.7	26.6

Summary Investment Thesis and Valuation

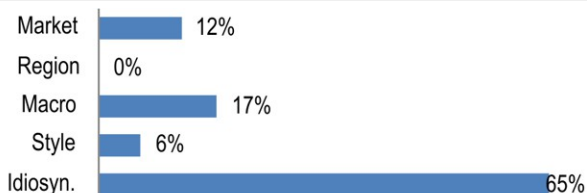
Investment Thesis

We believe HKL offers a scarcity value of: (1) high long-term dividend certainty as it is the only company within the HK property space that is committed to a mid-single-digit growth in DPS until 2035; (2) a committed buyback program; and (3) ambitious senior management with compensation aligned with share price performance. More proof of value-accretive capital recycling and execution of fund management should drive a further rerating.

Valuation

Our Jun-27 PT of US\$10.70 is based on a 21% discount to our NAV estimate (implying 0.75x P/B), which is the highest among HK-focused landlords as we factor in HKL's strong eagerness to enhance shareholder return and good track record in capital recycling.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.38	0.43
Region: Singapore	-0.10	0.01
Macro:		
JP Morgan EMBI Global Spread	-0.16	-0.19
JPM EM Currency(EMCI) Fixing	-0.03	0.17
US 10 Year Yield	0.12	0.14
Quant Styles:		
Size	-0.33	-0.25
LowVol	-0.08	-0.05
Growth	-0.03	-0.03

Investment Thesis, Valuation and Risks

Hongkong Land (Overweight; Price Target: \$10.70)

Investment Thesis

We believe HKL offers a scarcity value of: (1) high long-term dividend certainty as it is the only company within the HK property space that is committed to a mid-single-digit growth in DPS until 2035; (2) a committed buyback program; and (3) ambitious senior management with compensation aligned with share price performance. More proof of value-accretive capital recycling and execution of fund management should drive a further rerating.

Valuation

Our Jun-27 PT of US\$10.70 is based on a 21% discount to our NAV estimate (implying 0.75x P/B), which is the highest among HK-focused landlords as we factor in HKL's strong eagerness to enhance shareholder return and good track record in capital recycling.

Forward NAV					
Jun-27					
Project	Type	HK\$MM	US\$MM	% of GAV	US\$/sh
Hong Kong property investment					
Central office	Office	108,138	13,830	43.2%	6.43
The Landmark	Retail	43,254	5,532	17.3%	2.57
The Landmark Mandarin Oriental	Hotel	4,290	549	1.7%	0.25
HK investment properties total		155,681	19,910	62.2%	9.25
Hong Kong total		157,563	20,150	63.0%	9.36
Mainland China property development					
Chongqing	Lux Res	3,399	435	1.4%	0.20
Wuhan	Lux Res	682	87	0.3%	0.04
Chengdu	Lux Res	0	0	0.0%	0.00
Others	Lux Res	38	5	0.0%	0.00
Mainland China development properties		4,119	527	1.6%	0.24
Mainland China investment properties					
West Bund, Central & The Ring	Mixed	53,643	6,860	21.4%	3.19
Mainland China total		57,762	7,387	23.1%	3.43
Macau properties					
One Central	Retail	1,756	225	0.7%	0.10
One Central	Hotel	488	62	0.2%	0.03
Macau total		2,244	287	0.9%	0.13
Singapore properties					
Commercial			3,200	10.0%	1.49
SG total			3,200	10.0%	1.49
Overseas properties					
Vietnam & Cambodia	IP	1,130	144	0.5%	0.07
Indonesia	IP	3,269	418	1.3%	0.19
DP		2,346	300	0.9%	0.14
Overseas total		6,745	863	2.7%	0.40
Fund management (Fee Income)					
Singapore private RE fund (SCPREF)	Multiple	834	107	0.3%	0.05
		834	107	0.3%	0.05
Gross asset value		225,147	31,994	100.0%	15
Net debt		(23,278)	(2,977)		(1.38)
Net asset value		201,869	29,017		13.49

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Key upside risks: (1) stronger-than-expected recovery in the Hong Kong office market; (2) special dividend; and (3) more value-accretive capital recycling.

Key downside risks: (1) worse-than-expected deterioration in the Hong Kong office market; and (2) value-dilutive capital recycling.

Hongkong Land: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	1,100	1,059	1,027	1,031	1,075	Cash flow from operating activities	671	584	1,128	902	933
COGS	-	-	-	-	-	o/w Depreciation & amortization	13	14	14	14	14
Gross profit	-	-	-	-	-	o/w Changes in working capital	291	411	568	323	333
SG&A	-	-	-	-	-						
Adj. EBITDA	707	635	629	631	661	Cash flow from investing activities	82	1,668	1,400	(500)	(500)
D&A	(13)	(14)	(14)	(14)	(14)	o/w Capital expenditure	(79)	-	-	(500)	(500)
Adj. EBIT	694	621	615	617	646	as % of sales	7.1%	-	-	48.5%	46.5%
Net Interest	(194)	(171)	(131)	(110)	(113)						
Adj. PBT	816	668	709	735	767	Cash flow from financing activities	(778)	(781)	(2,061)	(589)	(923)
Tax	(89)	(81)	(82)	(86)	(90)	o/w Dividends paid	(478)	(503)	(561)	(589)	(619)
Minority Interest	(3)	(3)	(17)	(17)	(18)	o/w Shares issued/(repurchased)	0	(257)	0	0	0
Adj. Net Income	499	458	508	550	594	o/w Net debt issued/(repaid)	-	-	-	-	-
Reported EPS	0.33	0.21	0.24	0.26	0.28	Net change in cash	(26)	1,471	467	(187)	(490)
Adj. EPS	0.23	0.21	0.24	0.26	0.28						
						Adj. Free cash flow to firm	764	939	4,443	499	533
DPS	0.23	0.25	0.26	0.28	0.29	y/y Growth	(1.5%)	22.8%	373.3%	(88.8%)	6.8%
Payout ratio	70.1%	119.2%	110.9%	107.1%	104.1%						
Shares outstanding	2,207	2,184	2,148	2,137	2,137						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,073	2,552	3,019	2,831	2,342	Gross margin	-	-	-	-	-
Accounts receivable	349	354	300	300	300	EBITDA margin	64.2%	60.0%	61.3%	61.3%	61.5%
Inventories	2,360	1,015	615	415	215	EBIT margin	63.1%	58.7%	59.9%	59.9%	60.2%
Other current assets	91	2,875	2,875	2,875	2,875	Net profit margin	45.3%	43.3%	49.5%	53.4%	55.3%
Current assets	3,873	6,796	6,809	6,421	5,732						
PP&E	24,865	24,989	21,789	22,289	22,789	ROE	1.6%	1.5%	1.7%	1.8%	2.0%
LT investments	-	-	-	-	-	ROA	1.2%	1.2%	1.3%	1.4%	1.5%
Other non current assets	10,314	8,273	9,848	9,848	9,848	ROCE	1.7%	1.5%	1.5%	1.6%	1.6%
Total assets	39,052	40,057	38,445	38,558	38,368	SG&A/Sales	-	-	-	-	-
						Net debt/Equity	0.2	0.1	0.1	0.1	0.1
Short term borrowings	824	306	206	106	6	Net debt/EBITDA	7.2	5.6	2.6	2.9	3.0
Payables	1,642	1,420	1,534	1,656	1,789						
Other short term liabilities	1,026	1,350	1,413	1,479	1,549	Sales/Assets (x)	0.0	0.0	0.0	0.0	0.0
Current liabilities	3,492	3,076	3,152	3,241	3,343	Assets/Equity (x)	1.3	1.3	1.3	1.3	1.3
Long-term debt	5,342	5,836	4,436	4,536	4,332	Interest cover (x)	3.6	3.7	4.8	5.7	5.8
Other long term liabilities	250	312	312	312	312	Operating leverage	39.1%	278.7%	32.0%	98.1%	110.3%
Total liabilities	9,084	9,224	7,901	8,090	7,987	Tax rate	11.0%	12.1%	11.6%	11.7%	11.8%
Shareholders' equity	29,940	30,798	30,510	30,433	30,346	Revenue y/y Growth	(40.3%)	(3.8%)	(3.0%)	0.3%	4.3%
Minority interests	28	35	35	35	35	EBITDA y/y Growth	(15.9%)	(10.1%)	(0.9%)	0.3%	4.6%
Total liabilities & equity	39,052	40,057	38,445	38,558	38,368	EPS y/y Growth	(39.3%)	(7.1%)	12.8%	8.8%	8.0%
BVPS	13.57	14.27	14.28	14.24	14.20	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	(6.3%)	5.1%	0.1%	(0.2%)	(0.3%)	P/E (x)	32.7	35.3	31.3	28.7	26.6
						P/BV (x)	0.5	0.5	0.5	0.5	0.5
RNAV/Share	-	-	13.49	-	-	EV/EBITDA (x)	29.6	30.6	27.7	28.0	27.0
Net debt/(cash)	5,092	3,590	1,623	1,810	1,996	Dividend Yield	3.1%	3.4%	3.5%	3.7%	3.9%

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

1972.HK, 1972 HK
Price (15 Jul 26):HK\$21.72
Price Target (Jun-27):HK\$30.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}
(852) 2800-8513
karl.chan@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Style Exposure

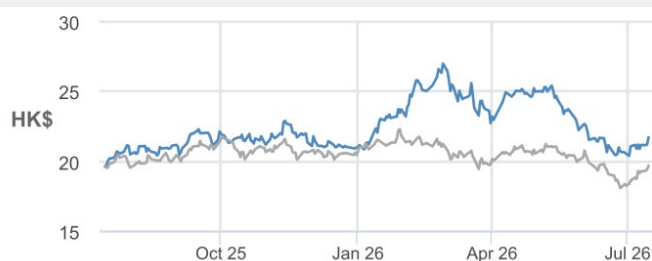
Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	60	56	58	45	61
Growth	89	78	55	37	56
Momentum	37	53	64	27	76
Quality	57	65	61	24	20
Low Vol	15	24	30	12	22

Swire Properties (1972)

Scarcity value of solid DPS growth

We lower our earnings estimates to reflect the latest DP sales. We roll over our price target to Jun-27 with no change in price target.

Price Performance



	YTD	1m	3m	12m
Abs	3.5%	0.3%	-12.2%	10.7%
Rel	7.2%	0.9%	-7.3%	10.3%

Company Data

Shares O/S (mn)	5,757
52-week range (HK\$)	27.18-19.50
Market cap (\$ mn)	15,955
Exchange rate	7.84
Free float (%)	16.7%
3M ADV (mn)	3.32
3M ADV (\$ mn)	9.6
Volatility (90 Day)	29
Index	HSI
BBG ANR (Buy Hold Sell)	15 0 0

Key Metrics (FYE Dec)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	16,041	18,222	18,180	17,803
Adj. EBITDA	8,640	9,104	8,819	9,185
Adj. EBIT	8,053	8,724	8,440	8,805
Adj. net income	6,260	7,973	8,327	8,955
Adj. EPS	1.09	1.38	1.45	1.56
BBG EPS	1.23	1.34	1.41	1.55
Cashflow from operations	7,471	8,661	12,509	9,466
FCFF	6,140	3,857	8,980	8,441
Margins and Growth				
Revenue Growth Y/Y (%)	11.2%	13.6%	(0.2%)	(2.1%)
EBITDA margin	53.9%	50.0%	48.5%	51.6%
EBITDA Growth Y/Y (%)	5.2%	5.4%	(3.1%)	4.1%
EBIT margin	50.2%	47.9%	46.4%	49.5%
Net margin	39.0%	43.8%	45.8%	50.3%
Adj. EPS growth	(2.6%)	27.6%	4.4%	7.5%
Ratios				
Adj. tax rate	15.2%	15.7%	15.3%	15.0%
Interest cover	9.1	9.6	10.0	10.8
Net debt/Equity	0.1	0.2	0.1	0.1
Net debt/EBITDA	4.6	4.5	4.4	4.1
ROCE	2.1%	2.3%	2.3%	2.4%
ROE	2.3%	3.0%	3.1%	3.3%
Valuation				
FCFF yield	4.9%	3.1%	7.2%	6.7%
Dividend yield	5.3%	5.5%	5.8%	6.1%
EV/Revenue	8.5	7.4	7.5	7.6
EV/EBITDA	15.7	14.9	15.4	14.8
Adj. P/E	20.0	15.7	15.0	14.0

Summary Investment Thesis and Valuation

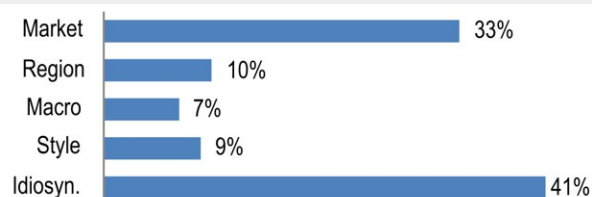
Investment Thesis

We are positive on Swire Properties because of its (1) high dividend certainty with a commitment to mid-single-digit growth in DPS; (2) improving Mainland China retail (the company's biggest sub-sector exposure); and (3) active capital recycling with a good track record. Although the HK East office portfolio remains weak, if there are any green shoots, we believe Swire Properties will see further rerating.

Valuation

Our Jun-27 PT of HK\$30 is based on a 35% discount to NAV, 1 S.D. above its long-term historical average.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.61	0.58
Region: Hong Kong	0.27	0.38
Macro:		
Generic 1st 'CO' Future	0.33	0.23
JP Morgan GBI-EM Global Div	0.09	0.21
JPM EM Currency(EMCI) Fixing	0.09	0.21
Quant Styles:		
Size	-0.51	-0.42
Growth	-0.24	-0.16
Value	0.09	0.11

Investment Thesis, Valuation and Risks

Swire Properties (1972) (Overweight; Price Target: HK\$30.00)

Investment Thesis

We are positive on Swire Properties because of its (1) high dividend certainty with a commitment to mid-single-digit growth in DPS; (2) improving Mainland China retail (the company's biggest sub-sector exposure); and (3) active capital recycling with a good track record. Although the HK East office portfolio remains weak, if there are any green shoots, we believe Swire Properties will see further rerating.

Valuation

Our Jun-27 PT of HK\$30 is based on a 35% discount to NAV, 1 S.D. above its long-term historical average.

	Jun-27 NAV		% of
	HK\$MM	HK\$/sh	GAV
Hong Kong Investment Properties			
Office	100,884	17.5	32%
Retail	41,069	7.1	13%
Luxury Residential	11,062	1.9	3%
Others	643	0.1	0%
	153,658	26.7	48%
Mainland China Investment Properties			
Office	21,286	3.7	7%
Retail	119,896	20.8	38%
Others	2,596	0.5	1%
	143,778	25.0	45%
Hong Kong Development Properties			
Residential	14,337	2.5	5%
	14,337	2.5	5%
Other Development Properties			
SEA Development Properties	3,661	0.6	1%
US Development Properties	2,000	0.3	1%
	5,661	1.0	2%
Total Enterprise Value (HK\$ mn)	317,428	55.1	100%
Net cash / (debt)	(39,540)	(6.9)	
Associated net debt	(9,031)	(1.6)	
Net assets value (HK\$ mn)	268,857	46.7	
Number of share outstanding (mn)	5,757		
NAV per share (HK\$)	46.70		

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Key upside risks: (1) stronger-than-expected recovery in the Hong Kong office market; and (2) increase in dividend payout. Key downside risks: (1) greater-than-expected deterioration in the Hong Kong office market; (2) worse-than-expected retail recovery in Hong Kong or Mainland China; and (3) an unexpected dividend cut.

Swire Properties (1972): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	14,428	16,041	18,222	18,180	17,803	Cash flow from operating activities	3,762	7,471	8,661	12,509	9,466
COGS	-	-	-	-	-	o/w Depreciation & amortization	515	587	379	379	379
Gross profit	-	-	-	-	-	o/w Changes in working capital	(671)	2,800	2,010	6,114	2,753
SG&A	-	-	-	-	-						
Adj. EBITDA	8,213	8,640	9,104	8,819	9,185	Cash flow from investing activities	(6,277)	3,190	(3,599)	(3,276)	(746)
D&A	(515)	(587)	(379)	(379)	(379)	o/w Capital expenditure	(4,445)	(2,140)	(5,599)	(4,276)	(1,746)
Adj. EBIT	7,698	8,053	8,724	8,440	8,805	as % of sales	30.8%	13.3%	30.7%	23.5%	9.8%
Net Interest	(991)	(954)	(944)	(882)	(849)						
Adj. PBT	7,979	7,654	9,591	10,046	10,807	Cash flow from financing activities	2,757	(5,895)	(9,377)	(9,995)	(9,341)
Tax	(1,080)	(1,164)	(1,509)	(1,542)	(1,623)	o/w Dividends paid	(6,296)	(6,506)	(6,679)	(6,995)	(7,341)
Minority Interest	(89)	(21)	(109)	(177)	(229)	o/w Shares issued/(repurchased)	(690)	(738)	0	0	0
Adj. Net Income	6,479	6,260	7,973	8,327	8,955	o/w Net debt issued/(repaid)	9,743	1,919	(2,698)	(3,000)	(2,000)
Reported EPS	1.16	1.49	1.38	1.45	1.56	Net change in cash	242	4,766	(4,315)	(762)	(621)
Adj. EPS	1.11	1.09	1.38	1.45	1.56						
						Adj. Free cash flow to firm	174	6,140	3,857	8,980	8,441
DPS	1.10	1.15	1.21	1.27	1.33	y/y Growth	(94.0%)	3431.5%	(37.2%)	132.8%	(6.0%)
Payout ratio	94.5%	77.0%	87.0%	87.5%	85.2%						
Shares outstanding	5,814	5,769	5,757	5,757	5,757						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	5,121	10,183	5,868	5,106	4,484	Gross margin	-	-	-	-	-
Accounts receivable	4,207	4,081	3,581	3,081	2,581	EBITDA margin	56.9%	53.9%	50.0%	48.5%	51.6%
Inventories	13,952	15,598	14,088	8,474	6,221	EBIT margin	53.4%	50.2%	47.9%	46.4%	49.5%
Other current assets	0	0	(0)	0	0	Net profit margin	44.9%	39.0%	43.8%	45.8%	50.3%
Current assets	23,280	29,862	23,537	16,660	13,286						
PP&E	277,807	274,467	277,687	280,584	280,951	ROE	2.3%	2.3%	3.0%	3.1%	3.3%
LT investments	-	-	-	-	-	ROA	1.8%	1.8%	2.3%	2.4%	2.6%
Other non current assets	54,339	49,203	51,014	53,502	56,352	ROCE	2.0%	2.1%	2.3%	2.3%	2.4%
Total assets	355,426	353,532	352,238	350,746	350,589	SG&A/Sales	-	-	-	-	-
						Net debt/Equity	0.2	0.1	0.2	0.1	0.1
Short term borrowings	6,760	9,349	8,000	6,000	6,000	Net debt/EBITDA	5.3	4.6	4.5	4.4	4.1
Payables	12,934	16,421	16,421	16,421	16,421						
Other short term liabilities	86	90	90	90	90	Sales/Assets (x)	0.0	0.0	0.1	0.1	0.1
Current liabilities	19,780	25,860	24,511	22,511	22,511	Assets/Equity (x)	1.3	1.3	1.3	1.3	1.3
Long-term debt	42,021	40,284	38,935	37,935	35,935	Interest cover (x)	8.3	9.1	9.6	10.0	10.8
Other long term liabilities	15,198	16,046	16,046	16,046	16,046	Operating leverage	235.4%	41.2%	61.3%	1413.5%	(208.8%)
Total liabilities	76,999	82,190	79,492	76,492	74,492	Tax rate	13.5%	15.2%	15.7%	15.3%	15.0%
Shareholders' equity	275,326	269,460	270,755	272,087	273,701	Revenue y/y Growth	(1.6%)	11.2%	13.6%	(0.2%)	(2.1%)
Minority interests	3,101	1,882	1,991	2,168	2,396	EBITDA y/y Growth	(3.6%)	5.2%	5.4%	(3.1%)	4.1%
Total liabilities & equity	355,426	353,532	352,238	350,746	350,589	EPS y/y Growth	(10.5%)	(2.6%)	27.6%	4.4%	7.5%
BVPS	47.35	46.80	47.03	47.26	47.54						
y/y Growth	(2.8%)	(1.2%)	0.5%	0.5%	0.6%	Valuation					
							FY24A	FY25A	FY26E	FY27E	FY28E
RNAV/Share	-	-	46.70	-	-	P/E (x)	19.5	20.0	15.7	15.0	14.0
Net debt/(cash)	43,660	39,450	41,067	38,829	37,451	P/BV (x)	0.5	0.5	0.5	0.5	0.5
						EV/EBITDA (x)	16.5	15.7	14.9	15.4	14.8
						Dividend Yield	5.1%	5.3%	5.5%	5.8%	6.1%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

0001.HK, 1 HK
Price (15 Jul 26):HK\$71.65
Price Target (Jun-27):HK\$79.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}
(852) 2800-8513
karl.chan@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	7	3	4	2	2
Growth	20	80	55	86	89
Momentum	24	56	63	49	75
Quality	63	80	66	69	82
Low Vol	34	27	25	8	23
ESGQ	100	99	99	92	100

CK Hutchison Holdings (0001)

Multiple ways to unlock value

We revise our earnings estimates to reflect the latest finance cost assumption and higher contribution from Cenovus Energy from higher oil prices. There is no change to our price target.

Price Performance



	YTD	1m	3m	12m
Abs	35.3%	2.3%	12.0%	48.8%
Rel	39.0%	2.9%	16.9%	48.4%

Company Data

Shares O/S (mn)	3,830
52-week range (HK\$)	74.35-47.80
Market cap (\$ mn)	35,013
Exchange rate	7.84
Free float (%)	69.2%
3M ADV (mn)	8.11
3M ADV (\$ mn)	70.9
Volatility (90 Day)	31
Index	HSI
BBG ANR (Buy Hold Sell)	7 2 0

Key Metrics (FYE Dec)

in	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
NOI	-	-	-	-
Adj. EBITDA	38,444	39,935	40,149	41,583
FFO per share	-	-	-	-
BBG FFOPS	-	-	-	-
AFFO per share	-	-	-	-
DPS	2.31	3.24	2.09	2.14
Margins and Growth				
NOI margin	-	-	-	-
NOI growth	-	-	-	-
EBITDA margin	7.6%	7.6%	8.0%	8.1%
EBITDA Growth Y/Y (%)	7.4%	3.9%	0.5%	3.6%
Ratios				
Adj. tax rate	41.8%	21.6%	30.0%	30.0%
FFO payout	-	-	-	-
AFFO payout	-	-	-	-
Net debt/EBITDA	3.2	1.1	0.7	0.3
ROA	2.0%	2.7%	1.7%	1.8%
ROE	4.1%	5.4%	3.3%	3.4%
Valuation				
Net debt/EV	0.5	0.2	0.1	0.1
Dividend yield	3.2%	4.5%	2.9%	3.0%
EV/EBITDA	7.1	6.2	6.0	5.6
EV/Revenue	0.5	0.5	0.5	0.5
Adj. P/E	12.3	8.8	13.6	13.3
P/FFO	-	-	-	-
P/AFFO	-	-	-	-
P/BV	0.5	0.5	0.5	0.4

Summary Investment Thesis and Valuation

Investment Thesis

CKH currently has multiple potential ways to unlock value, including (1) the proposed global ports disposal; (2) the speculated potential dual listing of A.S. Watson; and (3) the potential IPO of its telecom business. Even if we do not consider the potential disposals, underlying businesses are set to see MSD % earnings growth over the next few years. With the ongoing Middle East conflict, CKH is also set to be a beneficiary through its investment in Cenovus Energy which benefits from higher oil prices, providing a natural hedge to the potential impact on CKH's other businesses.

Valuation

Our Jun-27 PT of HK\$79 is based on a target 47% discount to our NAV estimate of HK\$149.4.

Performance Drivers

Market	38%
Region	12%
Macro	5%
Style	5%
Idiosyn.	40%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.67	0.61
Region: Hong Kong	0.37	0.43
Macro:		
JPM China A-shares Sentiment	0.22	0.24
Emerging Central Bank Rate	0.26	0.13
Generic 1st 'CO' Future	-0.07	-0.11
Quant Styles:		
Growth	-0.27	-0.30
Size	-0.23	-0.22
DivYld	0.12	0.19

Investment Thesis, Valuation and Risks

CK Hutchison Holdings (0001) *(Overweight; Price Target: HK\$79.00)*

Investment Thesis

CKH currently has multiple potential ways to unlock value, including (1) the proposed global ports disposal; (2) the speculated potential dual listing of A.S. Watsons; and (3) the potential IPO of its telecom business. Even if we do not consider the potential disposals, underlying businesses are set to see MSD% earnings growth over the next few years. With the ongoing Middle East conflict, CKH is also set to be a beneficiary through its investment in Cenovus Energy which benefits from higher oil prices, providing a natural hedge to the potential impact on CKH's other businesses.

Valuation

Our Jun-27 PT of HK\$79 is based on a target 47% discount to our NAV estimate of HK\$149.4.

Risks to Rating and Price Target

Key downside risks to our price target and rating include: (1) the global ports disposal falling through; (2) an unexpected dividend cut; (3) worse-than-expected performance in key business segments.

Upside risks include: (1) potential spin-off of telecom/retail; (2) value-accretive capital recycling; (3) special dividend from disposals; (4) higher-than-expected dividend payout; (5) share buyback.

CK Hutchison Holdings (0001): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	476,682	507,297	522,656	498,891	515,366	Cash flow from operating activities	54,228	62,567	69,763	59,475	60,808
COGS	(418,453)	(443,948)	(453,970)	(440,767)	(456,363)	o/w Depreciation & amortization	40,460	38,391	23,056	23,480	23,929
Gross profit	-	-	-	-	-	o/w Changes in working capital	(2,983)	3,722	0	0	0
SG&A	-	-	-	-	-	Cash flow from investing activities	(19,902)	(6,688)	32,037	(29,156)	(30,435)
Adj. EBITDA	35,797	38,444	39,935	40,149	41,583	o/w Capital expenditure	(20,826)	(22,673)	(27,957)	(29,156)	(30,435)
D&A	(21,299)	(21,058)	(23,056)	(23,480)	(23,929)	as % of sales	4.4%	4.5%	5.3%	5.8%	5.9%
Adj. EBIT	14,498	17,386	16,879	16,668	17,654	Cash flow from financing activities	(41,436)	(33,918)	(56,658)	(24,314)	(24,131)
Net Interest	(10,678)	(9,366)	(8,898)	(7,118)	(6,905)	o/w Dividends paid	(17,546)	(13,571)	(20,127)	(15,919)	(16,310)
Adj. PBT	34,776	32,333	68,205	40,115	41,099	o/w Shares issued/(repurchased)	(14,103)	(14,839)	0	0	0
Tax	(10,986)	(13,527)	(14,702)	(12,035)	(12,330)	o/w Net debt issued/(repaid)	(9,787)	(5,508)	(36,531)	(8,395)	(7,821)
Minority Interest	(6,760)	(7,470)	(7,703)	(7,914)	(8,110)	Net change in cash	(7,110)	21,961	45,142	6,006	6,243
Adj. Net Income	20,828	22,310	31,301	20,167	20,659	Adj. Free cash flow to firm	41,631	61,327	108,779	35,302	35,207
Reported EPS	4.45	2.96	11.96	5.27	5.39	y/y Growth	(4.6%)	47.3%	77.4%	(67.5%)	(0.3%)
Adj. EPS	5.44	5.82	8.17	5.27	5.39						
DPS	2.20	2.31	3.24	2.09	2.14						
Payout ratio	49.5%	78.1%	27.1%	39.7%	39.7%						
Shares outstanding	3,830	3,830	3,830	3,830	3,830						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	121,303	143,748	188,890	194,896	201,138	Gross margin	-	-	-	-	-
Accounts receivable	45,967	42,307	42,307	42,307	42,307	EBITDA margin	7.5%	7.6%	7.6%	8.0%	8.1%
Inventories	24,923	26,688	26,688	26,688	26,688	EBIT margin	3.0%	3.4%	3.2%	3.3%	3.4%
Other current assets	0	0	0	0	0	Net profit margin	4.4%	4.4%	6.0%	4.0%	4.0%
Current assets	192,193	212,743	257,885	263,891	270,133	ROE	3.8%	4.1%	5.4%	3.3%	3.4%
PP&E	111,777	100,080	109,631	120,107	131,561	ROA	1.8%	2.0%	2.7%	1.7%	1.8%
LT investments	27,956	24,176	24,176	24,176	24,176	ROCE	1.2%	1.2%	1.6%	1.4%	1.5%
Other non current assets	477,378	519,565	474,071	474,071	474,071	SG&A/Sales	-	-	-	-	-
Total assets	1,112,542	1,155,673	1,160,222	1,171,903	1,184,652	Net debt/Equity	0.2	0.2	0.1	0.0	0.0
Short term borrowings	30,956	38,087	30,879	32,423	34,044	Net debt/EBITDA	3.8	3.2	1.1	0.7	0.3
Payables	94,787	95,101	95,101	95,101	95,101	Sales/Assets (x)	0.4	0.4	0.5	0.4	0.4
Other short term liabilities	5,242	2,211	2,211	2,211	2,211	Assets/Equity (x)	2.1	2.1	2.0	1.9	1.9
Current liabilities	130,985	135,399	128,191	129,735	131,356	Interest cover (x)	3.4	4.1	4.5	5.6	6.0
Long-term debt	227,033	229,699	200,376	190,437	180,995	Operating leverage	(688.2%)	310.2%	(96.4%)	27.4%	179.1%
Other long term liabilities	101,932	102,183	102,183	102,183	102,183	Tax rate	31.6%	41.8%	21.6%	30.0%	30.0%
Total liabilities	459,950	467,281	430,750	422,355	414,534	Revenue y/y Growth	3.3%	6.4%	3.0%	(4.5%)	3.3%
Shareholders' equity	534,715	562,772	596,149	608,311	620,771	EBITDA y/y Growth	(12.6%)	7.4%	3.9%	0.5%	3.6%
Minority interests	117,877	125,620	133,323	141,237	149,347	EPS y/y Growth	(11.4%)	7.1%	40.3%	(35.6%)	2.4%
Total liabilities & equity	1,112,542	1,155,673	1,160,222	1,171,903	1,184,652						
BVPS	139.61	146.94	155.65	158.83	162.08	Valuation					
y/y Growth	(2.5%)	5.2%	5.9%	2.0%	2.0%		FY24A	FY25A	FY26E	FY27E	FY28E
RNAV/Share	-	-	149.39	-	-	P/E (x)	13.2	12.3	8.8	13.6	13.3
Net debt/(cash)	136,686	124,038	42,365	27,964	13,900	P/BV (x)	0.5	0.5	0.5	0.5	0.4
						EV/EBITDA (x)	9.4	7.1	6.2	6.0	5.6
						Dividend Yield	3.1%	3.2%	4.5%	2.9%	3.0%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

JARD.SI, JM SP

Price (15 Jul 26):\$61.59

Price Target (Jun-27):\$94.00

Mainland China/Hong Kong Property & Conglomerates

Karl Chan ^{AC}

(852) 2800-8513

karl.chan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	5.97	5.58	-6.5%
Adj. EPS - 27E (\$)	6.29	5.77	-8.3%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	6	6	3	4	16
Growth	47	47	34	19	73
Momentum	33	34	36	24	24
Quality	28	34	23	2	79
Low Vol	38	25	19	19	36
ESGQ	100	95	99	-	100

Jardine Matheson

Strong commitment to boost shareholder returns

We roll over our price target to Jun-27 with no change in our price target. We have also revised our earnings estimates to factor in the latest acquisition of I-MED, and the latest JPM estimates for Hongkong Land (HKL SP) and Astra (ASII IJ - covered by JPM analyst Benny Kurniawan).

Price Performance



	YTD	1m	3m	12m
Abs	-9.9%	-6.7%	-15.9%	19.7%
Rel	-29.6%	-16.2%	-26.6%	-15.2%

Company Data

Shares O/S (mn)	294
52-week range (\$)	82.50-50.50
Market cap (\$ mn)	18,117
Exchange rate	1.00
Free float (%)	72.2%
3M ADV (mn)	0.38
3M ADV (\$ mn)	25.0
Volatility (90 Day)	37
Index	FTSTI
BBG ANR (Buy Hold Sell)	0 0 0

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	33,817	33,320	35,209	35,963
Adj. EBITDA	5,908	5,534	5,808	5,917
Adj. EBIT	3,716	3,342	3,616	3,725
Adj. net income	1,566	1,641	1,696	1,751
Adj. EPS	5.33	5.58	5.77	5.96
BBG EPS	-	-	-	-
Cashflow from operations	(443)	1,641	1,696	1,751
FCFF	3,032	777	865	914
Margins and Growth				
Revenue Growth Y/Y (%)	(3.0%)	(1.5%)	5.7%	2.1%
EBITDA margin	17.5%	16.6%	16.5%	16.5%
EBITDA Growth Y/Y (%)	(3.1%)	(6.3%)	5.0%	1.9%
EBIT margin	11.0%	10.0%	10.3%	10.4%
Net margin	4.6%	4.9%	4.8%	4.9%
Adj. EPS growth	1.7%	4.8%	3.3%	3.3%
Ratios				
Adj. tax rate	18.3%	17.4%	17.4%	17.4%
Interest cover	13.2	19.4	17.9	18.6
Net debt/Equity	0.1	0.1	0.1	0.1
Net debt/EBITDA	1.1	1.2	1.2	1.2
ROCE	6.9%	6.2%	6.4%	6.4%
ROE	5.5%	5.6%	5.5%	5.5%
Valuation				
FCFF yield	16.7%	4.3%	4.8%	5.0%
Dividend yield	3.8%	4.0%	4.2%	4.4%
EV/Revenue	1.0	1.0	1.0	0.9
EV/EBITDA	5.9	6.2	5.9	5.7
Adj. P/E	11.6	11.0	10.7	10.3

Summary Investment Thesis and Valuation

Investment Thesis

We are encouraged by JM's ongoing transformation from a traditional conglomerate into a long-term return-focused investor, and we believe JM is on track to achieve its 5-year TSR target of 9%+ through its proactive capital recycling, share buyback, 5%+ growth in DPS & organic growth. We have an Overweight rating on the stock.

Valuation

With the mark-to-market value of its listed subsidiaries/ associates, JPM price target on Hongkong Land, a 10x P/E on Jardine Pacific, 18x EV/EBITDA on Mandarin Oriental, and the enterprise value of I-MED at acquisition, we estimate the NAV of JM to be US\$106.77. By applying a holding company discount of 12% to the NAV, we derive a Jul-27 price target for the stock of US\$94.

Performance Drivers

Market	11%
Region	9%
Macro	9%
Style	0%
Idiosyn.	71%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.42	0.33
Region: Hong Kong	0.18	0.27
Macro:		
Citi Economic Surprise - EM	-0.21	-0.22
Markit EM Composite PMI SA	-0.30	-0.21
JPM China A-shares Sentiment	0.03	0.15
Quant Styles:		
Size	-0.31	-0.13
Growth	-0.10	-0.07
Quality	-0.01	-0.03

Investment Thesis, Valuation and Risks

Jardine Matheson (Overweight; Price Target: \$94.00)

Investment Thesis

We are encouraged by JM's ongoing transformation from a traditional conglomerate into a long-term return-focused investor, and we believe JM is on track to achieve its 5-year TSR target of 9%+ through its proactive capital recycling, share buyback, 5%+ growth in DPS & organic growth. We have an Overweight rating on the stock.

Valuation

With the mark-to-market value of its listed subsidiaries/associates, JPM price target on Hongkong Land, a 10x P/E on Jardine Pacific, 18x EV/EBITDA on Mandarin Oriental, and the enterprise value of I-MED at acquisition, we estimate the NAV of JM to be US\$106.77. By applying a holding company discount of 12% to the NAV, we derive a Jun-27 price target for the stock of US\$94.

Jardine Matheson - breakdown of NAV estimate

Listed	Methodology	Value (US\$mn)	Per share (US\$)	% of GAV
Hongkong Land	JPM Price Target	12,453	42.33	36.9%
Dairy Farm	Market value	3,819	12.98	11.3%
JC&C	Market value	6,993	23.77	20.7%
Zhongsheng	Market value	198	0.67	0.6%
Non-listed				
Jardine Pacific	10x P/E	1,957	6.65	5.8%
Mandarin Oriental	18x EV/EBITDA	3,261	11.09	9.7%
I-MED	Enterprise value	2,400	8.16	7.1%
Other investments	Book value	2,684	9.12	7.9%
Total GAV		33,765	114.78	100.0%
Less: Net debt		-2,359	-8.02	
NAV		31,406	106.77	

Source: Company data, J.P. Morgan estimates. Note: Our Jun-27 PT of US\$10.70 is based on a 21% discount to our NAV estimate (implying 0.75x P/B), which is the highest among HK-focused landlords as we factor in HKL's strong eagerness to enhance shareholder return and good track record in capital recycling; key downside risks include: (1) worse-than-expected deterioration in the Hong Kong office market; (2) value-dilutive capital recycling.

Risks to Rating and Price Target

Key upside risks: (1) better-than-expected earnings growth in core businesses (e.g. Astra); (2) value-accretive capital recycling; (3) higher-than-expected dividend payout.

Key downside risks: (1) worse-than-expected earnings growth in core businesses (e.g. Astra); (2) value-dilutive capital recycling; (3) worse-than-expected execution by new CEO.

Jardine Matheson: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	34,864	33,817	33,320	35,209	35,963	Cash flow from operating activities	(1,019)	(443)	1,641	1,696	1,751
COGS	-	-	-	-	-	o/w Depreciation & amortization	2,174	2,192	2,192	2,192	2,192
Gross profit	-	-	-	-	-	o/w Changes in working capital	(687)	(1,619)	0	0	0
SG&A	(28,766)	(27,909)	(27,786)	(29,400)	(30,046)	Cash flow from investing activities	3,986	4,417	(1,100)	(1,100)	(1,100)
Adj. EBITDA	6,098	5,908	5,534	5,808	5,917	o/w Capital expenditure	-	-	(1,100)	(1,100)	(1,100)
D&A	(2,174)	(2,192)	(2,192)	(2,192)	(2,192)	as % of sales	-	-	3.3%	3.1%	3.1%
Adj. EBIT	3,924	3,716	3,342	3,616	3,725	Cash flow from financing activities	(3,000)	(258)	(201)	(235)	(272)
Net Interest	(554)	(448)	(285)	(325)	(318)	o/w Dividends paid	(652)	(662)	(691)	(725)	(762)
Adj. PBT	4,470	4,362	4,151	4,434	4,597	o/w Shares issued/(repurchased)	2	9	0	0	0
Tax	(826)	(797)	(721)	(770)	(798)	o/w Net debt issued/(repaid)	(758)	(735)	500	500	500
Minority Interest	(2,126)	(1,884)	(1,790)	(1,969)	(2,048)	Net change in cash	(33)	3,716	340	360	380
Adj. Net Income	1,518	1,566	1,641	1,696	1,751	Adj. Free cash flow to firm	3,486	3,032	777	865	914
Reported EPS	5.24	5.33	5.58	5.77	5.96	y/y Growth	(5674.1%)	(13.0%)	(74.4%)	11.3%	5.7%
Adj. EPS	5.24	5.33	5.58	5.77	5.96						
DPS	2.25	2.35	2.47	2.59	2.72						
Payout ratio	42.9%	44.1%	44.2%	44.9%	45.7%						
Shares outstanding	290	294	294	294	294						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	4,847	8,563	8,903	9,263	9,643	Gross margin	-	-	-	-	-
Accounts receivable	6,839	7,046	7,046	7,257	7,475	EBITDA margin	17.5%	17.5%	16.6%	16.5%	16.5%
Inventories	3,332	3,105	3,105	3,105	3,105	EBIT margin	11.3%	11.0%	10.0%	10.3%	10.4%
Other current assets	4,793	4,921	4,921	4,921	4,921	Net profit margin	4.4%	4.6%	4.9%	4.8%	4.9%
Current assets	19,811	23,635	23,975	24,547	25,144	ROE	5.3%	5.5%	5.6%	5.5%	5.5%
PP&E	6,574	6,627	6,627	6,627	6,627	ROA	1.7%	1.8%	1.9%	1.9%	1.9%
LT investments	28,079	27,463	27,963	28,463	28,963	ROCE	7.2%	6.9%	6.2%	6.4%	6.4%
Other non current assets	58,278	53,848	54,948	56,048	57,148	SG&A/Sales	82.5%	82.5%	83.4%	83.5%	83.5%
Total assets	86,779	86,136	87,576	89,248	90,945	Net debt/Equity	0.2	0.1	0.1	0.1	0.1
Short term borrowings	4,634	4,921	4,696	4,846	4,996	Net debt/EBITDA	1.8	1.1	1.2	1.2	1.2
Payables	9,662	8,755	8,755	8,755	8,755	Sales/Assets (x)	0.4	0.4	0.4	0.4	0.4
Other short term liabilities	2,416	1,812	1,812	1,812	1,812	Assets/Equity (x)	3.1	3.0	2.9	2.9	2.8
Current liabilities	16,712	15,488	15,263	15,413	15,563	Interest cover (x)	11.0	13.2	19.4	17.9	18.6
Long-term debt	11,254	10,232	10,957	11,307	11,657	Operating leverage	258.9%	176.5%	684.1%	144.7%	140.4%
Other long term liabilities	5,493	5,769	5,769	5,769	5,769	Tax rate	18.5%	18.3%	17.4%	17.4%	17.4%
Total liabilities	33,459	31,489	31,989	32,489	32,989	Revenue y/y Growth	(3.3%)	(3.0%)	(1.5%)	5.7%	2.1%
Shareholders' equity	27,880	29,033	29,973	31,144	32,342	EBITDA y/y Growth	(4.2%)	(3.1%)	(6.3%)	5.0%	1.9%
Minority interests	25,440	25,614	25,614	25,614	25,614	EPS y/y Growth	(8.9%)	1.7%	4.8%	3.3%	3.3%
Total liabilities & equity	86,779	86,136	87,576	89,247	90,945	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
BVPS	96.39	99.48	101.95	105.93	110.01	P/E (x)	11.8	11.6	11.0	10.7	10.3
y/y Growth	(4.0%)	3.2%	2.5%	3.9%	3.8%	P/BV (x)	0.6	0.6	0.6	0.6	0.6
Net debt/(cash)	11,041	6,590	6,750	6,890	7,010	EV/EBITDA (x)	6.0	5.9	6.2	5.9	5.7
						Dividend Yield	3.7%	3.8%	4.0%	4.2%	4.4%

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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